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Private capital monitor: AI is the 2nd biggest risk

September 2026

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.



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Executive summary

- **Data centres, power, compute** and private investment-grade financing is further diversifying private capital from buyouts.
- But the risk of **AI disruption, overbuild, and capital misallocation** is a frequent risk discussed by large, listed private capital managers
- Our spotlight section includes an analysis of **AI-related overfinancing risk**
- Still, the **macro environment** is now the top point of concern amongst PC managers, even more so than the exit environment
- **Private capital growth remains strong but is becoming increasingly K-shaped.** Scale, investment performance, origination capabilities and product breadth are driving fundraising toward the largest platforms, while weaker managers and less differentiated products face pressure.
- **Fundraising, AUM and fee-related earnings generally reached record or near-record levels,** despite weak sponsor M&A, uneven exits and disruption in parts of private wealth and software.
- There has also been a **drop in the number of articles on private credit in the media,** especially when it comes to “crisis”-mentioning variety. With public BDCs being at the centre of this year’s rout, the drop in such trackable indicators likely bodes well for sentiment and thus flows.
- The overall tone of Q2 results was **strongly positive and confident, especially on fundraising and structural growth.** However, management teams were more cautious on the timing of monetisations, private-wealth recovery, AI capacity risks and software disruption.



01. Q2 2026 results

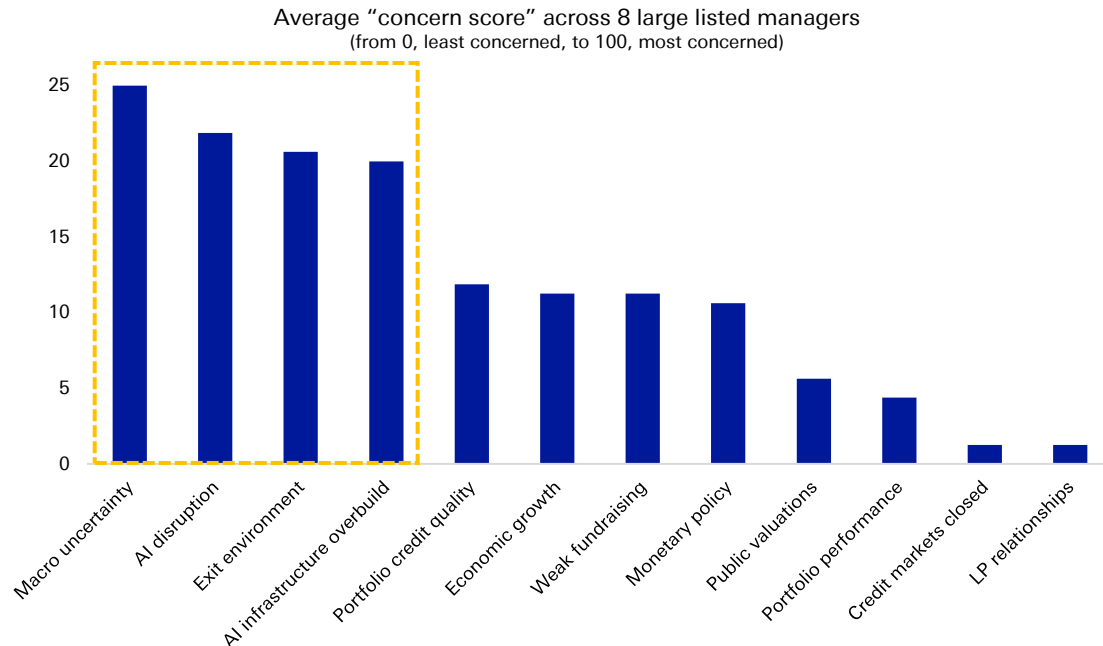
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Q2 earnings calls from the large, listed PC managers

Summary



- **Private capital growth remains strong but is becoming increasingly K-shaped.** Scale, investment performance, origination capabilities and product breadth are driving fundraising toward the largest platforms, while weaker managers and less differentiated products face pressure.
- **Fundraising, AUM and fee-related earnings generally reached record or near-record levels**, despite weak sponsor M&A, uneven exits and disruption in parts of private wealth and software.
- **The overall tone was strongly positive and confident, especially on fundraising and structural growth.** However, management teams were more cautious on the timing of monetisations, private-wealth recovery, AI capacity risks and software disruption.
- **AI is creating a need** for data centres, power, compute and private investment-grade financing that further diversifies private capital from buyouts.
- Amongst the concerns we track, managers were relatively **more concerned about the macro environment and AI effects**, including the risk of overbuild in related infrastructure.

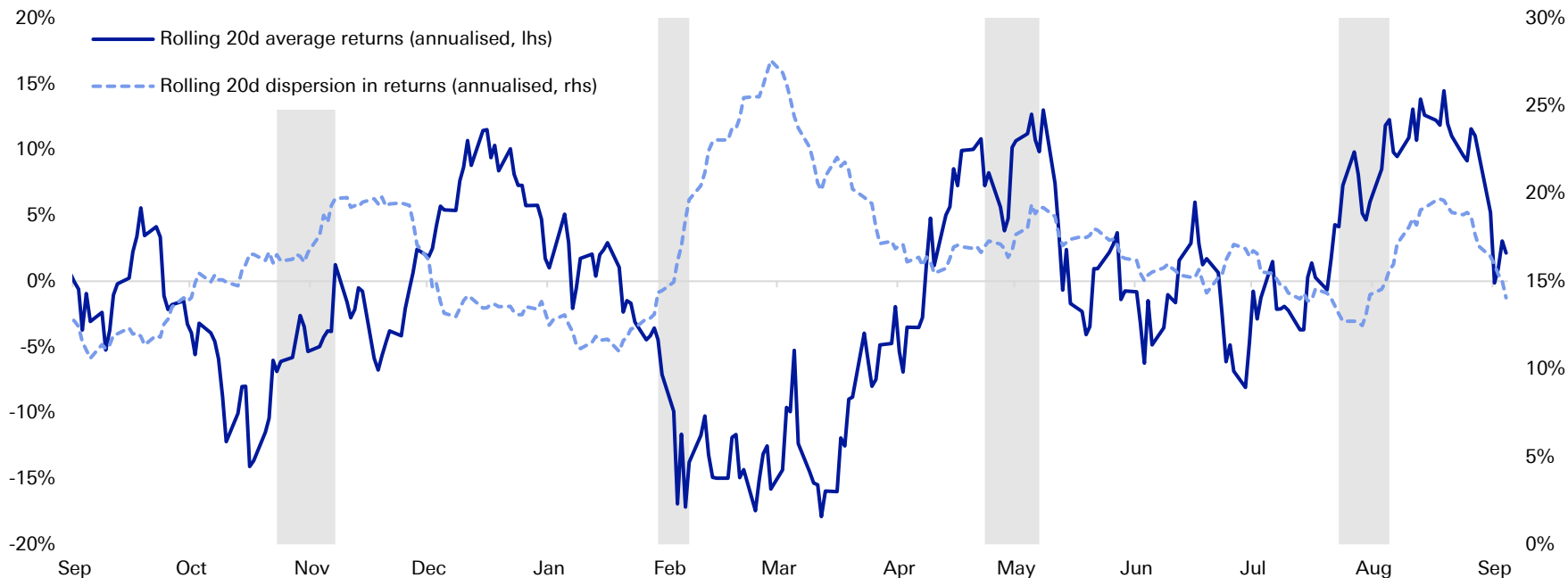


Source: Bloomberg Finance LP, Microsoft Copilot, Deutsche Bank.

Good results and some pullback around AI and credit fears catalysed a strong rebound in shares



8 US-listed private capital managers, rolling performance (earnings season shaded)



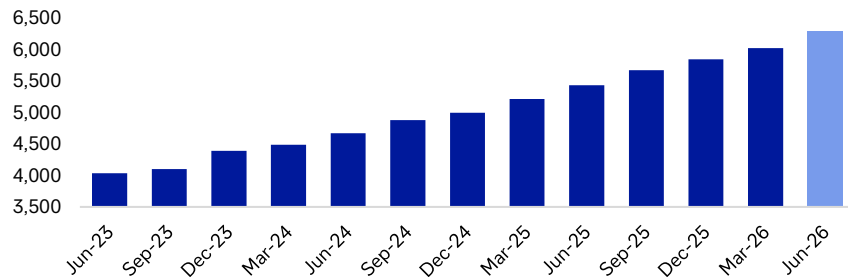
Source: Bloomberg Finance LP, Deutsche Bank.

Key metrics for selected large private capital managers

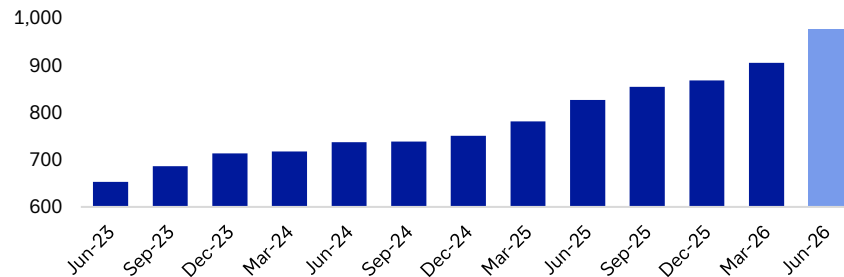
Strong earnings and a notable uptick in dry powder



Total AUM in \$bn



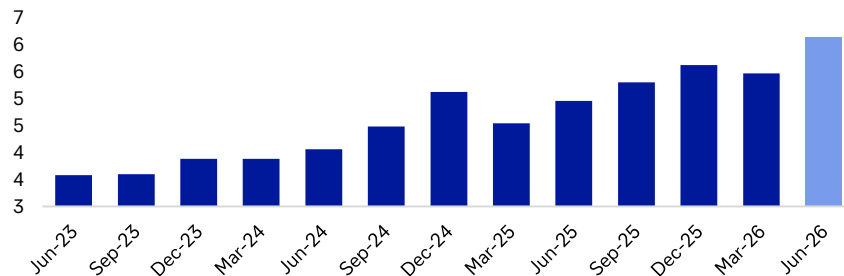
Dry powder in \$bn



Average fee-related earnings margin (%)



Fee-related earnings in \$bn



Source: Bloomberg Finance LP, Deutsche Bank.

Key themes from Q2 earnings calls

Large, listed managers talk AI, wealth, fundraising, exits and credit



1. **AI infrastructure** has become a firm-wide capital deployment and earnings theme, extending beyond data centres into power, compute, chips, connectivity and investment-grade financing. Power availability is emerging as a more important constraint than capital. Although concentrated exposure to AI infrastructure is a risk if demand expectations change, managers stressed contracted revenues, strong counterparties and hard-asset collateral as mitigants.
 - Blackstone's data-centre platform reached \$185bn of total value, including projects under construction, up from \$130bn at the start of 2026. Management said the platform could double over the next few years and that the market for long-term ownership of stabilised data centres could eventually reach \$1tn. The firm also said nine of its ten largest Q2 mark-ups were AI-related.
 - Apollo cited more than \$8tn of cumulative AI-infrastructure investment through the cycle and led a \$35bn Broadcom financing, described as the largest private-credit financing to date.
 - Brookfield estimated \$10tn of AI-related capex across energy, data centres, compute and adjacent infrastructure. The firm said AI-related deployment was probably running at approximately twice its normal 15%-20% business growth rate.
 - Blue Owl reported more than 140 data centres owned or under construction and 15.3GW of leased and owned capacity
2. **Private wealth** remains strategically important, but private credit experienced a confidence and liquidity test. Early Q3 data suggests stabilising fundraising. The better wealth outcomes increasingly came from private equity, infrastructure, real estate and multi-asset products rather than traditional private credit. Earnings calls suggest some international family offices and smaller institutions behaved more cyclically than core US individual investors.
3. **Record fundraising** despite a "noisy" backdrop. Fundraising is concentrating with scaled, diversified platforms.
4. **Realisations** are recovering, but the market is highly selective (see pages 17-21 of this report)
5. **Credit is broadening beyond sponsor-backed direct lending** and real assets, infrastructure, defence and secondaries are benefiting from secular demand
6. **Earnings are shifting toward recurring fees, transaction revenues and fee-related performance revenues.** Firms are becoming more effective at capturing economics from origination, financing and perpetual vehicles amidst a strategic shift from simply managing third-party capital toward monetising the broader platform through origination, syndication, financing and advisory services.

Source: Bloomberg Finance LP, Deutsche Bank.

Key risks from Q2 earnings calls

Aside from AI, concerns are rising about rates and credit



1. **AI overbuild, capital misallocation and execution amongst most consistently voiced risks**
 - Brookfield said concerns about excess infrastructure capacity were reasonable and that, as in railways and fibre, some capital would inevitably be poorly allocated.
 - Blackstone acknowledged the potential for excessive exuberance, despite its conviction that power, chips and entitlements constrain supply.
 - Both firms also identified scarce inputs and complex development requirements as execution bottlenecks.
2. **AI disruption to software and white-collar services**
 - Blackstone said software, professional services and information services were experiencing weaker buyer interest despite many companies continuing to perform operationally.
 - TPG reported mid-teens software bookings growth and said over 75% of its software exposure was well positioned to benefit from AI.
 - Blue Owl said it had gained increasing comfort around software transition risk but continued to recognise it as a valid issue
3. **Wealth-channel redemptions.** Management frames this as narrative-driven, but a slower-than-expected sentiment recovery is a risk to retail flows. Managers emphasised that requests were concentrated among a minority of investors concentrated in non-US family offices and smaller institutions and that underlying portfolio performance remained sound.
 - The recovery appears to be under way but remains gradual. Blue Owl explicitly rejected a V-shaped recovery assumption, while Ares estimated that its BDC could return to flow stasis over the next two to three quarters if current trends continued.
4. **Realisation timing and reliance on capital markets.** Managers stressed that timing is difficult to predict.
 - TPG expects transaction and monitoring fees to step down in Q3 after pulling forward some transactions into Q2. Carlyle similarly said Q2 capital-markets activity was unlikely to repeat in Q3 or Q4. Blackstone expects lower Q3 realisations before a stronger Q4 and 2027.
5. **Credit-cycle normalisation and growing dispersion remain risks, although managers generally reported sound portfolio fundamentals in Q2.**
6. **Insurance competition, spread compression and regulation**
 - KKR said competition had increased and it was allocating somewhat less capital to insurance at current return levels. Management described sector ROEs as structurally low in the current competitive environment. Apollo cited 36 asset-manager entrants into retail annuities and argued that some competitors lack mature origination, liability-generation and operating capabilities. Apollo also highlighted offshore regulatory arbitrage and pushed for “equal capital for equal risk”, warning that weaker regulatory structures could undermine industry trust.
7. **Rates, inflation, energy and geopolitics.** The macro backdrop remained a recurring source of uncertainty:
 - Carlyle cited war in the Middle East, pressure on energy markets, stubborn inflation and AI-related public-market volatility.
 - TPG said geopolitical uncertainty and changing rate expectations had reduced private-equity activity.
 - Blackstone said higher rates were delaying the real-estate recovery and had pushed some exits out.

Source: Bloomberg Finance LP, Deutsche Bank.

Q2 earnings: performance by asset class



KKR	Q2	LTM
Private equity		
Traditional PE portfolio	4%	9%
Real assets		
Opportunistic real estate	-1%	1%
Infrastructure	1%	8%
Credit		
Leveraged credit composite	2%	5%
Alternative credit composite	1%	5%
Apollo	Q2	LTM
Direct origination	2.6%	7.9%
Opportunistic credit	1.8%	10.7%
Multi-credit	1.9%	7.4%
Asset-backed finance	2.4%	7.2%
Flagship PE	3.0%	7.2%
Carlyle	Q2	LTM
Global private equity		
Corporate PE	2%	4%
Real estate	0%	2%
Infrastructure & natural resources	6%	28%
Global credit	4%	16%

Ares	Q2	LTM
Credit		
Alternative credit	4.1%	16.4%
Opportunistic credit	2.4%	8.9%
US senior direct lending	2.5%	11.2%
US junior direct lending	0.2%	8.9%
European direct lending	1.5%	8.3%
APAC credit	2.4%	19.0%
Corporate private equity	2.4%	1.6%
Real assets		
Americas real estate equity	0.6%	3.1%
European real estate equity	0.2%	2.5%
Infrastructure equity	9.0%	9.8%
Infrastructure debt	1.7%	7.5%
Secondaries		
Private equity secondaries	-5.3%	-1.7%
Real estate secondaries	-1.2%	5.6%
Infrastructure secondaries	-0.4%	14.6%

Blackstone	Q2	LTM
Real estate		
Opportunistic	0.4%	-1.4%
Core+	0.2%	3.2%
Private equity		
Corporate private equity	3.7%	14.4%
Tactical opportunities	3.9%	9.9%
Secondaries	1.7%	8.1%
Infrastructure	7.2%	28.6%
Credit & insurance		
Private credit	1.0%	6.8%
Liquid credit	2.2%	3.9%
TPG	Q2	YTD
Capital	5.7%	3.1%
Growth	6.2%	4.5%
Impact	7.2%	7.2%
Credit	3.3%	5.6%
Real Estate	2.5%	4.4%
Blue Owl	Q2	LTM
Direct lending	2.6%	8.3%
Alternative credit	2.4%	11.4%
Net lease	3.1%	13.6%
Real estate credit	1.9%	8.1%
Digital infrastructure	3.1%	6.0%

Source: Company reports, Bloomberg Finance LP, Deutsche Bank. Note: Performance reflects gross returns or appreciation depending on the manager, strategy and time period.

Management comments – a few records in Q2 and a confident tone



- **Stephen Schwarzman of Blackstone:** “Blackstone delivered an outstanding second quarter, highlighted by strong growth in earnings and nearly \$70 billion of inflows. Our decision to lean into the artificial intelligence megatrend is leading to standout investment performance across numerous strategies and creating extraordinary opportunities for growth. We’ve become a trusted partner at scale to many of the key innovators in this ecosystem, which positions our firm extremely well for the future.”
- **Joseph Bae and Scott Nuttall of KKR:** “Our second quarter results reflect the strength and breadth of KKR’s global franchise. We reported record Fee Related Earnings, Total Operating Earnings and Adjusted Net Income per share on both a quarterly and trailing twelve-month basis. Our continued return of capital to clients led to our strongest monetization quarter ever and helped drive record new capital inflows over the past 12 months.”
- **Marc Rowan of Apollo:** “Our strong second quarter results reflect record earnings across Asset Management and Retirement Services, highlighting the quality and growing scale of our business. We are at the forefront of modernizing how private markets operate by enhancing transparency, improving liquidity, and broadening access. In a market evolving quickly with increasing demand for capital, the breadth of our origination capabilities combined with a principal mindset positions us to help shape what comes next.”
- **Harvey Schwartz of Carlyle:** “The second quarter was one of Carlyle’s strongest quarters in recent years, underscoring the power of our diversified platform. We delivered record Fee Related Earnings, our highest Distributable Earnings in nearly four years, alongside strong fundraising, and exceptional realization activity. Carlyle continues to distinguish itself as an industry leader and an outlier in returning capital to our clients, distributing nearly \$7 billion during the quarter and \$37 billion over the past year. ...”
- **Michael Arougheti of Ares:** “We generated strong second-quarter results, including another record quarter of fundraising with more than \$36 billion of inflows as our clients continue to reward us due to our strong and consistent fund performance across our strategies. Our diverse global origination platform enabled us to remain active investing in attractive opportunities across the platform in a slower transaction environment and we are now seeing a meaningful pickup in our firmwide investment pipeline.”
- **Jon Winkelried of TPG:** “TPG delivered record results during the first half of 2026, reflecting the strength of our diversified and growing franchise... As clients increasingly partner with TPG for access to our differentiated offerings across strategies, we continue to see significant opportunities to further expand our platform and build long-term value for our shareholders.”
- **Doug Ostrover and Marc Lipschultz of Blue Owl:** “Blue Owl’s ongoing growth in the second quarter reflects the strong investment performance we continue to generate across strategies and the diversification of our business across platforms and geographies... The results we reported this morning continue to demonstrate the resilience of our business and highlight our positioning as a key provider of scaled capital solutions in this evolving market landscape.”

Source: Company reports, Deutsche Bank.



02.

Spotlight section:

- Sentiment recovery
- AI overinvestment
- Realisations

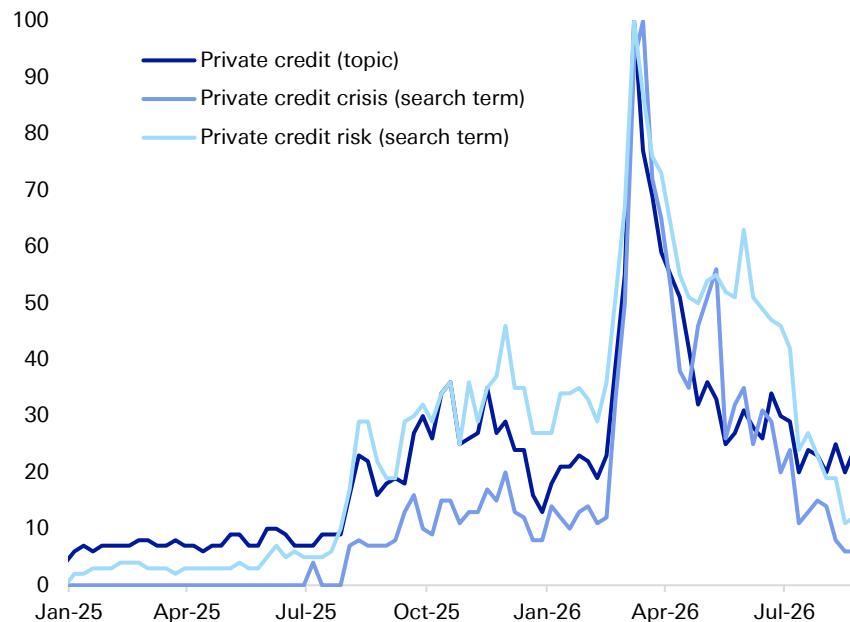
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Private credit fears 1/3

The pessimism is well past its peak now as various sentiment measures point to a drop in interest in the topic. As managers first noted during Q1 earnings, there seems to have been the most concern amongst Asian investors.

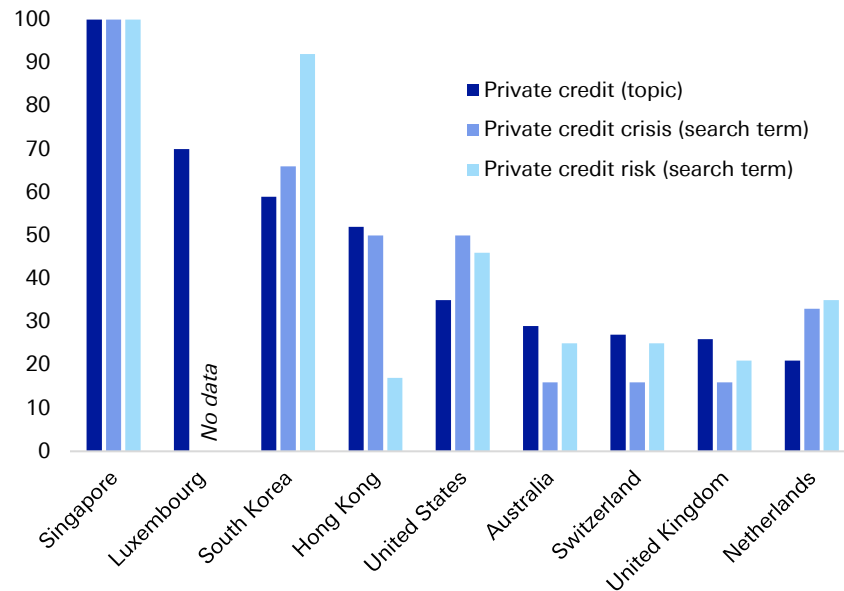


Private credit-related Google search trends (worldwide)
100 = the peak popularity for the term



Source: Google Trends, Deutsche Bank.

Popularity of private credit-related search terms
(Last 12m, 100 = the location with the most popularity as a fraction of total searches in that location)

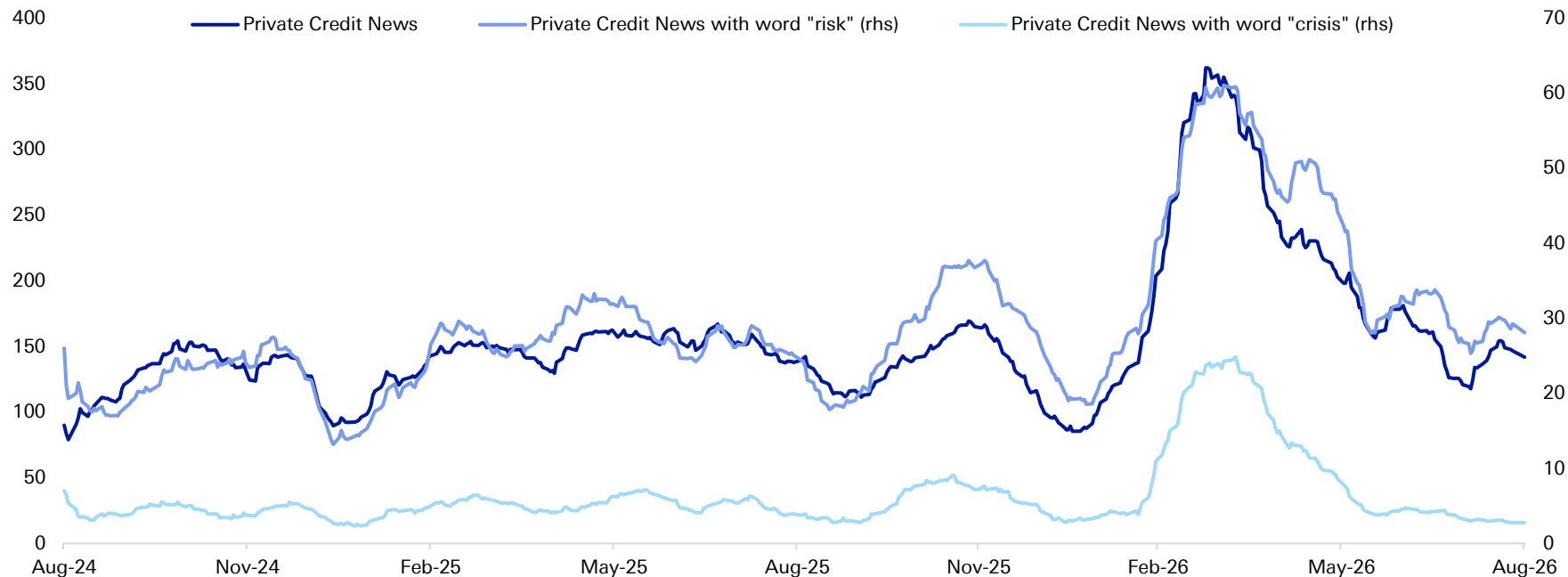


Private credit fears 2/3

There has also been a drop in the number of articles on private credit in the media, especially when it comes to “crisis”-mentioning variety. With public BDCs being at the centre of this year’s rout, the drop in such trackable indicators likely bodes well for sentiment and thus flows.



Story count of private credit news as tracked by Bloomberg, 30d average



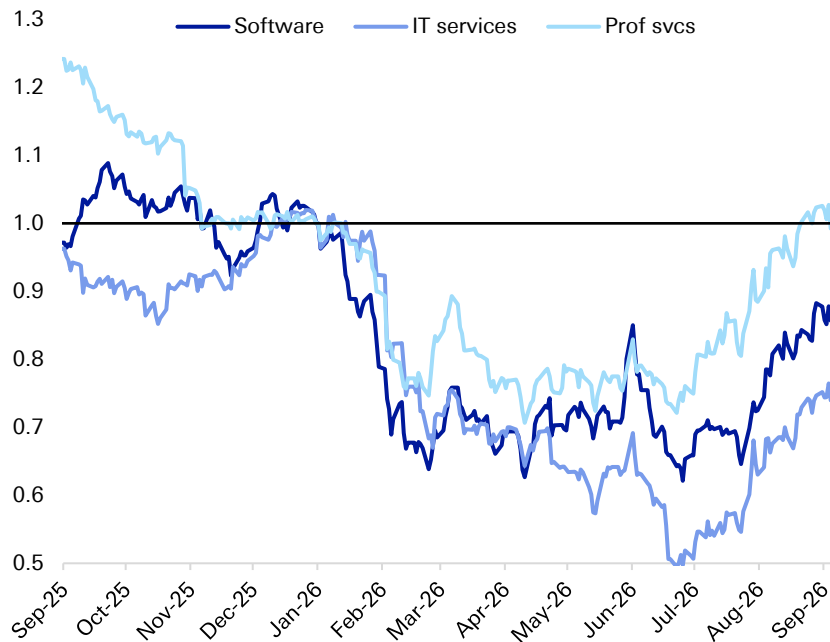
Source: Bloomberg Finance LP, Deutsche Bank.

Private credit fears 3/3

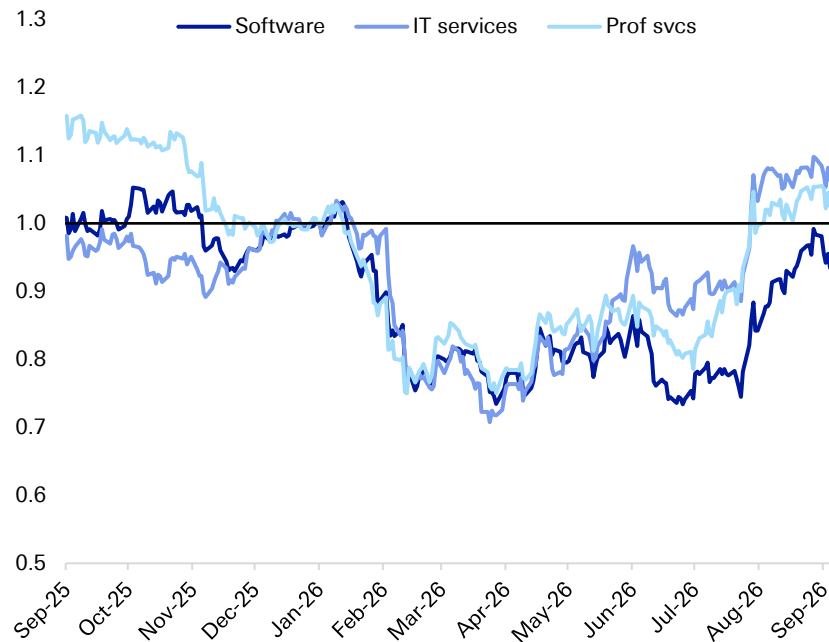
The relief to private capital also comes from receding AI disruption fears in software as firms reported solid earnings and executives continue to push back at the negative narratives around AI's impact on their businesses. Our baskets of stocks that were most affected by the original selloff earlier this year that we covered [here](#)



Selected US stocks, indexed to end of 2025



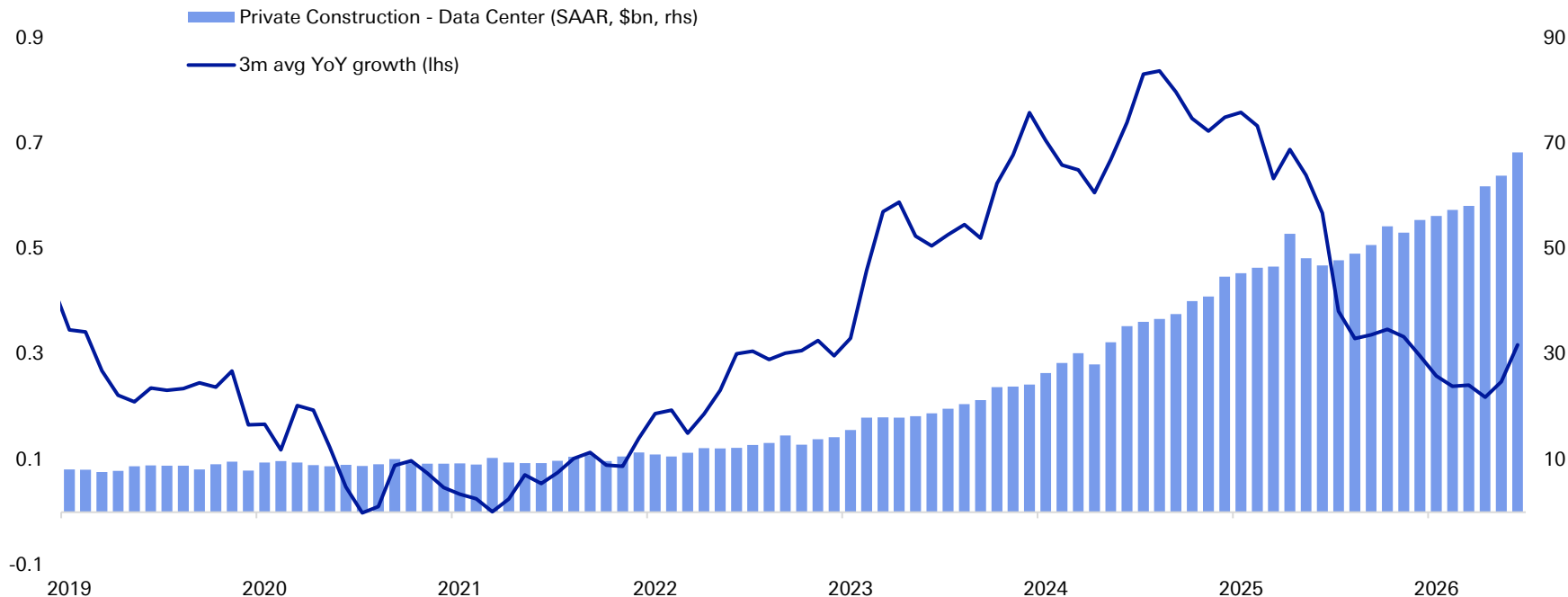
Selected European stocks, indexed to end of 2025



Source: Bloomberg Finance LP, Deutsche Bank.

AI-focused overinvestment 1/3

Amongst the most prominent risks for private capital as managers plough in money in data centres, large loans and other financing. US data centre construction growth has been increasing in recent months and now runs at annualised \$70bn per month.



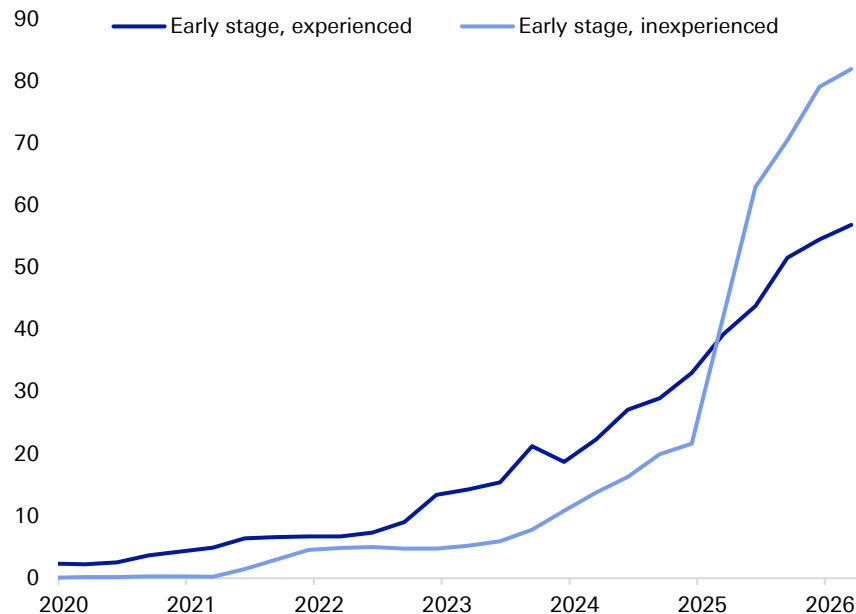
Source: Haver Analytics, Deutsche Bank.

AI-focused overinvestment 2/3

The number of entrants into AI infrastructure projects together with rising long-term yields augment concerns about the scale financing. Indeed, inexperienced developers now make up c 60% of the early-stage US data centre capacity.

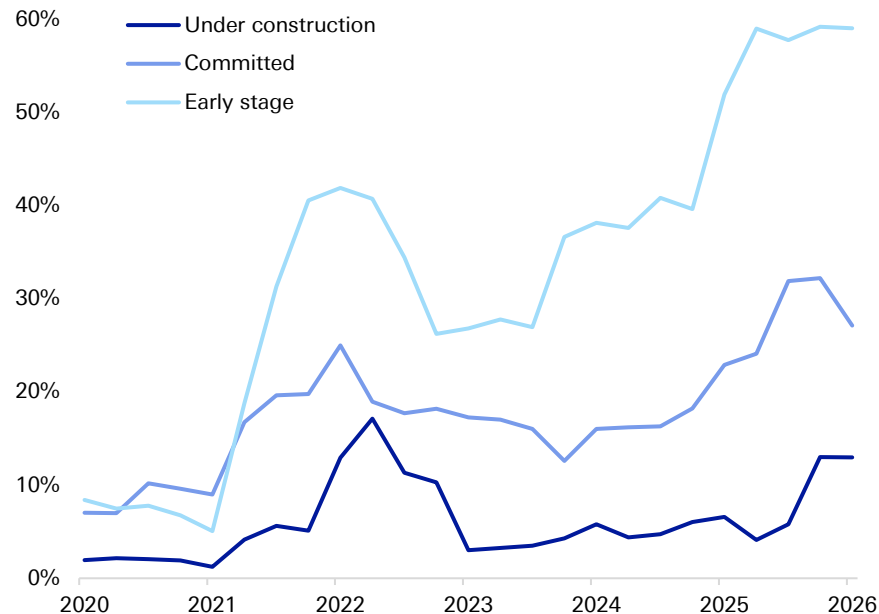


US data centre pipeline capacity, early stage by developer experience, GW



Source: Bloomberg NEF, Deutsche Bank.

US data centre pipeline capacity, share of inexperienced developers by stage

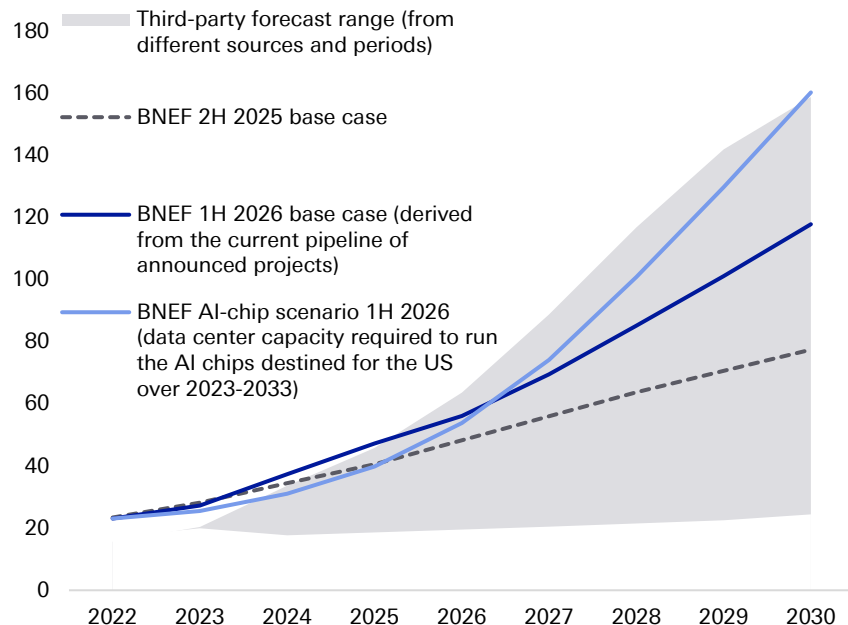


AI-focused overinvestment 3/3

The overfinancing risk is augmented by forecast uncertainty around rapid AI buildout growth, with some estimates pointing to installed capacity doubling in 3 years. Room to expand AI business adoption is a tailwind, but other factors including model advancements are harder to predict.

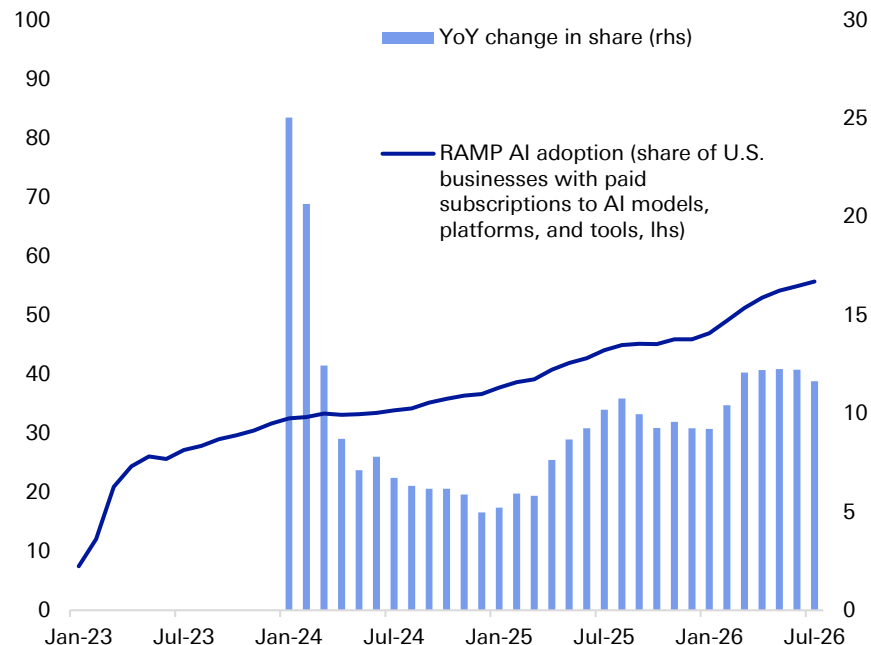


Outlook comparisons for US data-center installed power capacity (GW)



Source: Bloomberg NEF, Bloomberg Finance LP, Deutsche Bank.

Corporate AI adoption speed in the US



Realisations 1/5

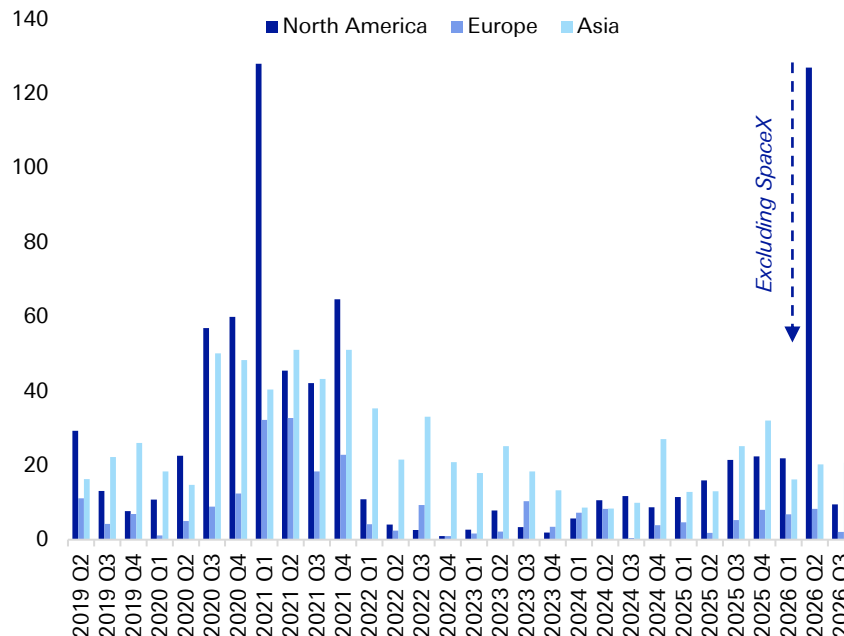
Reopening IPO markets, AI-related corporate demand and mature portfolios are all catalysts. But timing remains unpredictable and exposed to geopolitics, public-market volatility, rates and AI-related valuation uncertainty.



1. KKR described Q2 as the largest monetisation quarter in its history, with realised performance income of \$848m and realised investment income of \$220m. Remaining unrealised gains were still approximately \$18bn.
2. Carlyle returned nearly \$7bn to investors in Q2 and \$37bn over the prior year. Its US buyout strategy returned 23% of fair value over 12 months, which management said was more than twice the current industry average and above the 20% long-term industry average.
3. TPG generated \$5bn of Q2 realisations and almost \$14bn in H1, up 28% year over year.
4. Blackstone outlined the following segmentation when it comes to investor demand for assets:
 - AI, power, electrification and energy assets: strong strategic, sponsor and IPO demand
 - AI-unaffected businesses: broadly available liquidity
 - Software, professional services and information services: materially weaker activity because of AI uncertainty.

The firm estimated the third category represents approximately 30%-40% of the private-equity market.
5. TPG similarly noted that industry realisations were down about 46% quarter over quarter, although its own H1 activity was higher. It expects its monetisation cadence to accelerate toward year-end and into 2027. Brookfield expects transaction volumes to build in H2, while Blackstone expects weaker Q3 realisations followed by a stronger Q4 and 2027.

IPO deal values by quarter \$bn



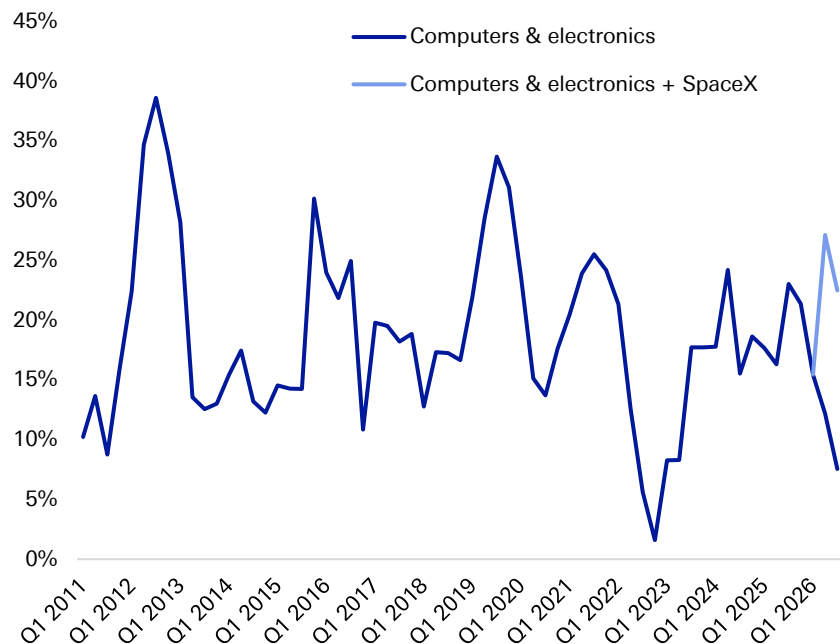
Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

Realisations 2/5

More AI-related businesses are likely to come to the market even after the big AI firms go public. Tech IPOs have been relatively muted despite the boom in financing this decade. Investors' appetite for AI and big capital markets issuances may push more managers to exit tech holdings while the mood lasts. There have been just c \$7bn in pure-play AI IPOs in the US since 2025.

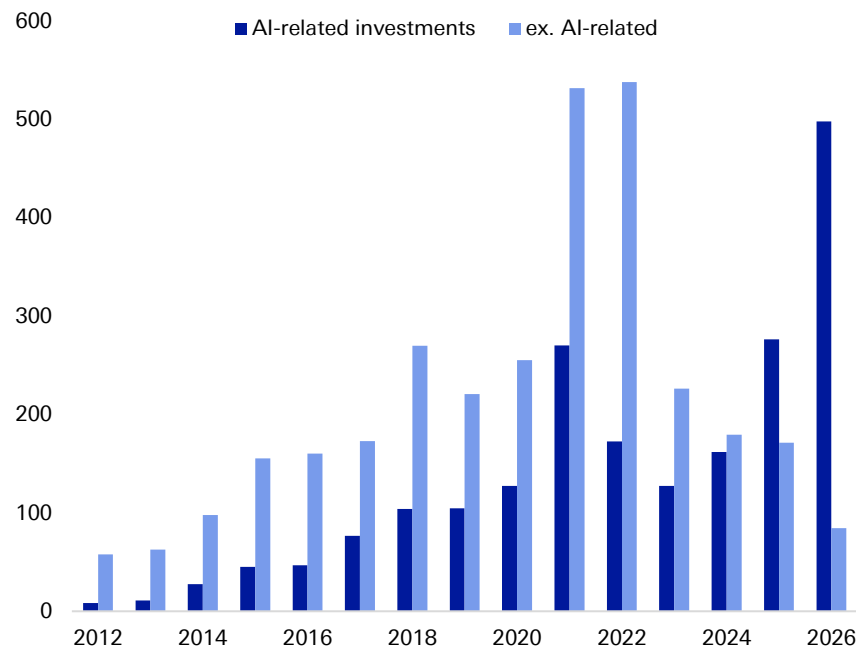


Tech share of total US IPO proceeds, 4q MA



Source: Dealogic, OECD, Deutsche Bank.

Worldwide VC investment in AI (\$bn)

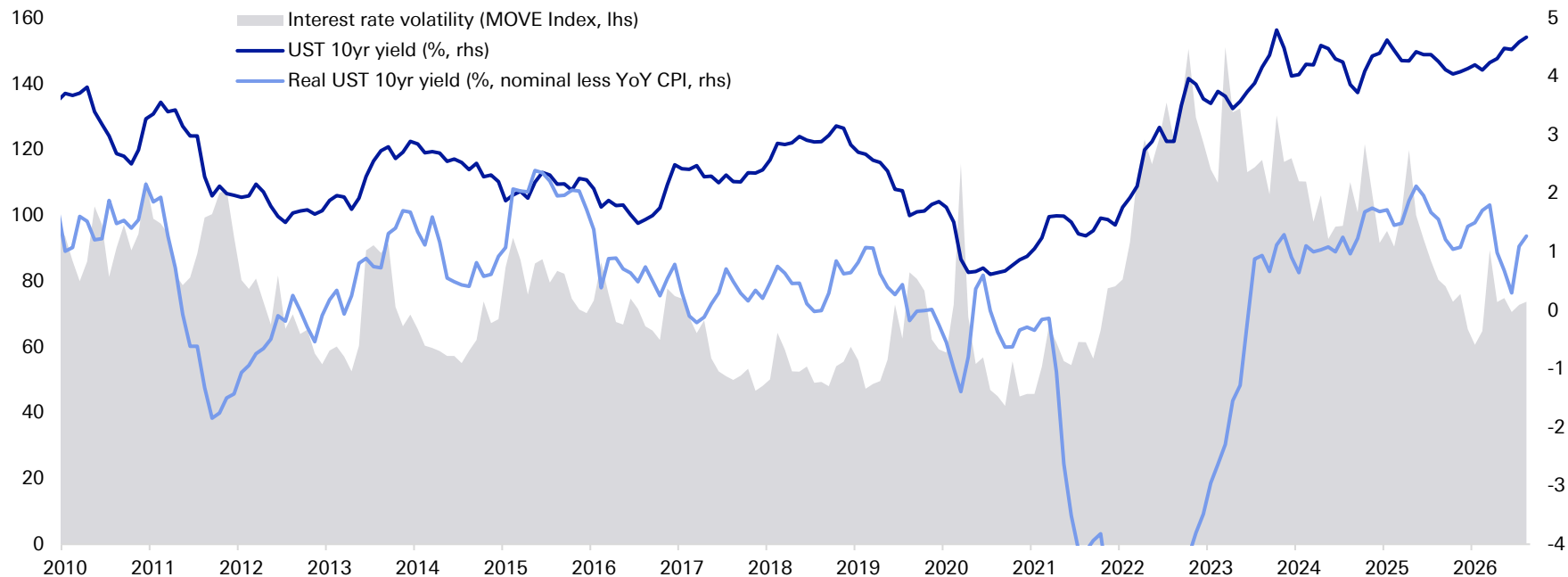


Realisations 3/5

Rising yields are likely to be less of a headwind to capital markets activity than many expect. Meanwhile, both real yields and volatility remain subdued. We have shown previously that dealmaking has been strong even when rates were elevated.



US rates backdrop – monthly averages



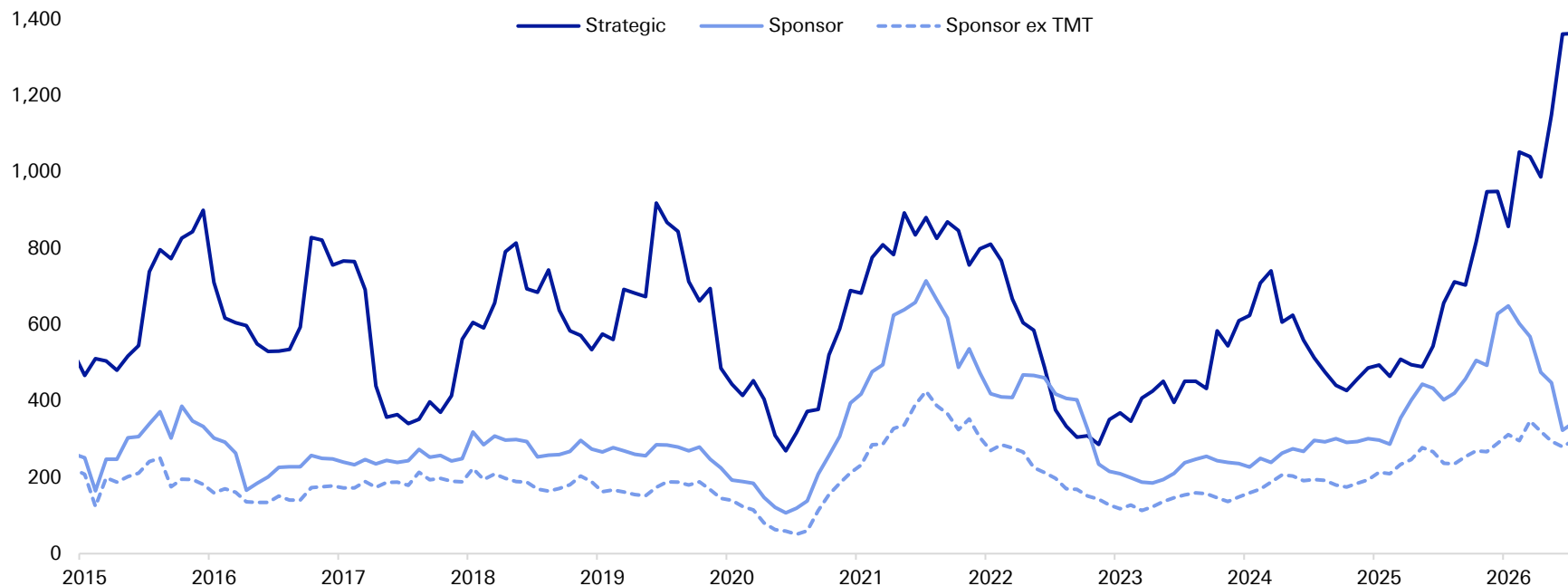
Source: Bloomberg Finance LP, Google Trends, Deutsche Bank.

Realisations 4/5

Rates are also unlikely to grind corporate buyers and thus sale exits to a halt. Meanwhile, sponsor M&A outside TMT has a number of tailwinds.



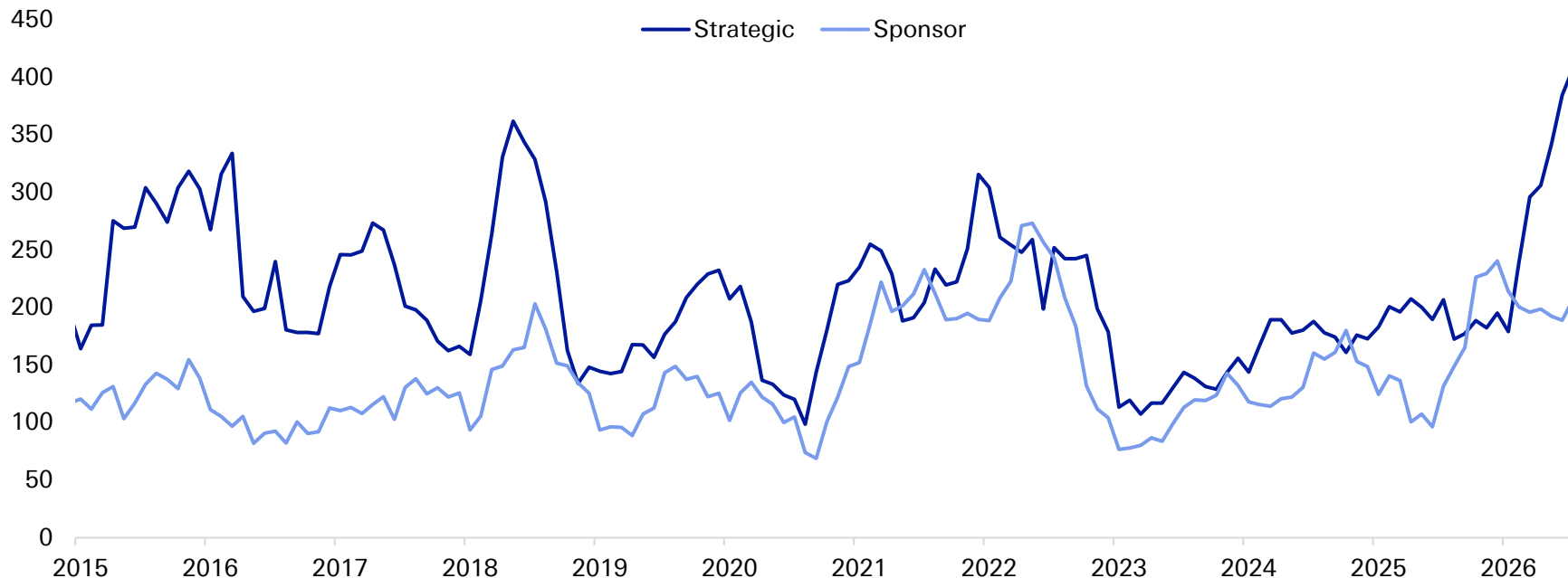
US M&A deal value at announcement (\$bn, 6m sum)



Source: Dealogic, Deutsche Bank. Note: through July 2026.



W Europe M&A deal value at announcement (\$bn, 6m sum)



Source: Dealogic, Deutsche Bank. Note: through July 2026.



03. Market conditions

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Shares of US-listed private capital managers are up +32% from YTD lows and +25% from June trough as some confidence returns in the asset class. Our index is still down -11% YTD vs +14% for the S&P 500 and 18% for US banks



Private capital managers total return performance relative to broader markets (USD)



Source: Bloomberg Finance LP, Deutsche Bank.

European firms have also rebounded by +23% (from March lows) and +14% (June). The YTD return (-1%) also underwhelms the broader market (+13%) and local banks (+28%)



Private capital managers total return v broader markets in 2025 (EUR)

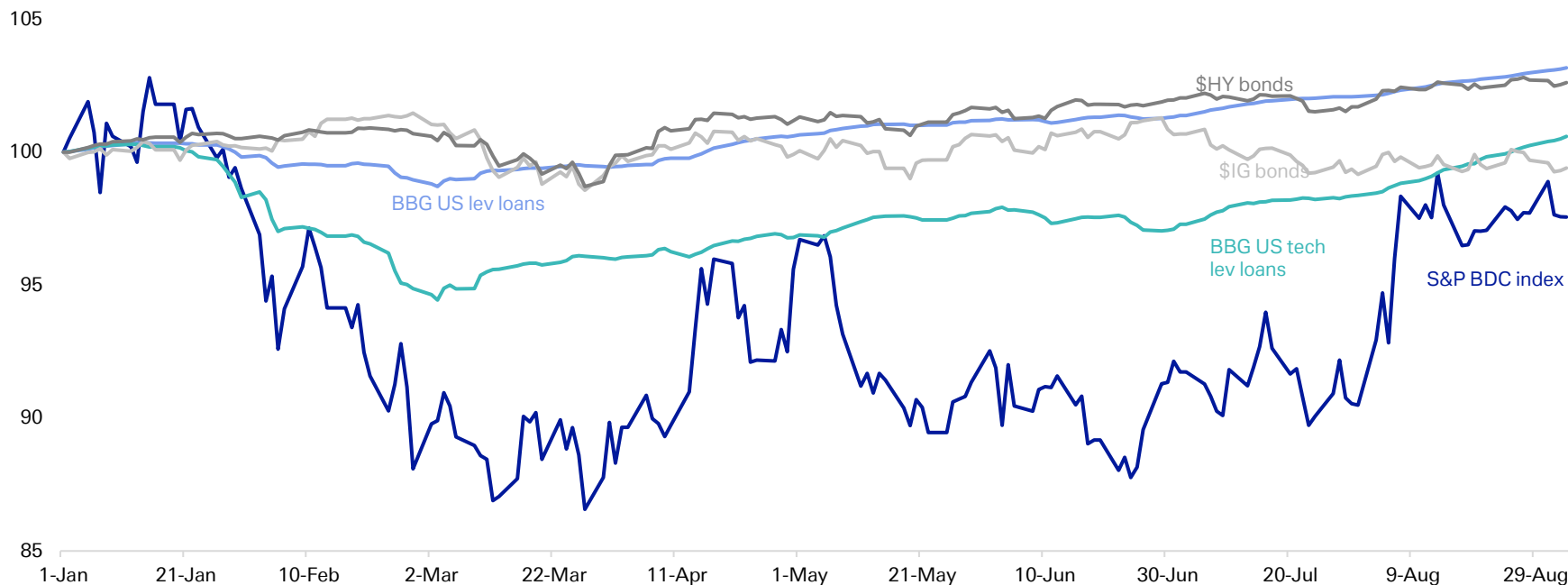


Source: Bloomberg Finance LP, Deutsche Bank.

It's a similar rebound story for BDC returns vs the broader credit markets in recent weeks

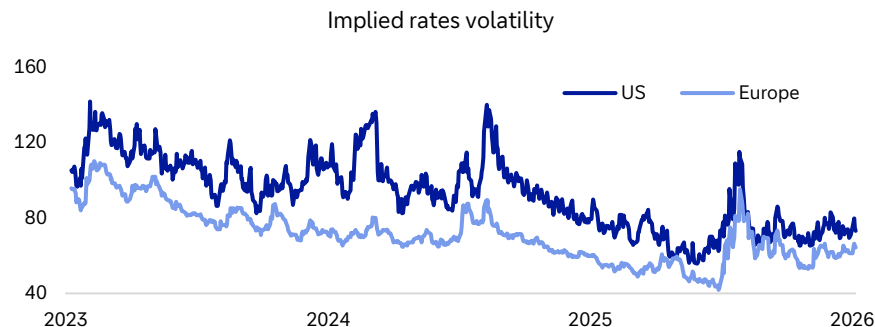
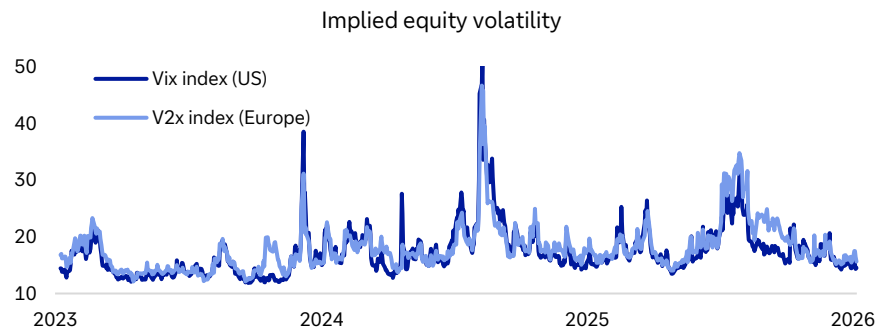
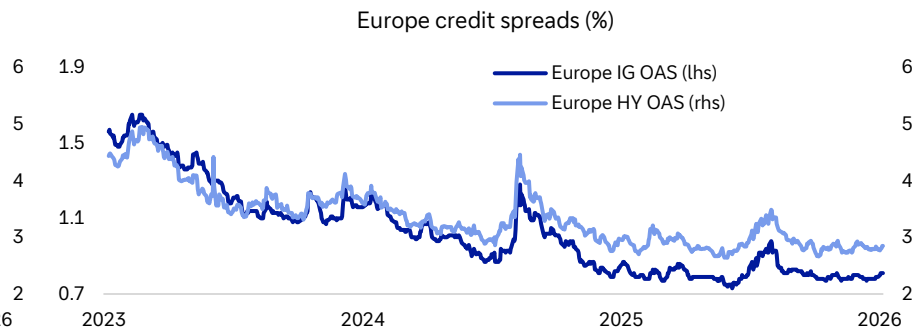
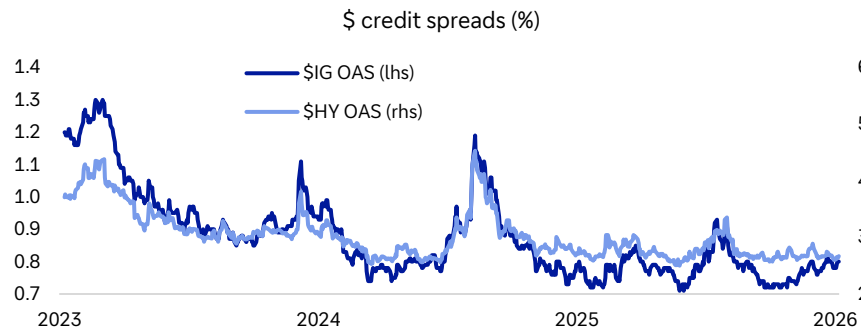


Credit assets YTD total return performance



Source: Bloomberg Finance LP, Deutsche Bank.

Contained volatility, especially in rates amidst rising yields, helps overall risk backdrop. Credit spreads have also been steady.

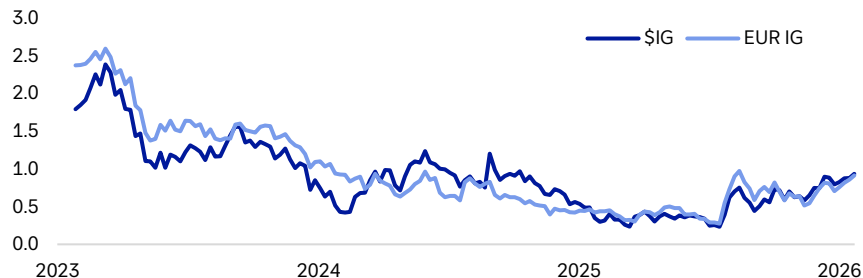


Source: Bloomberg Finance LP, Deutsche Bank.

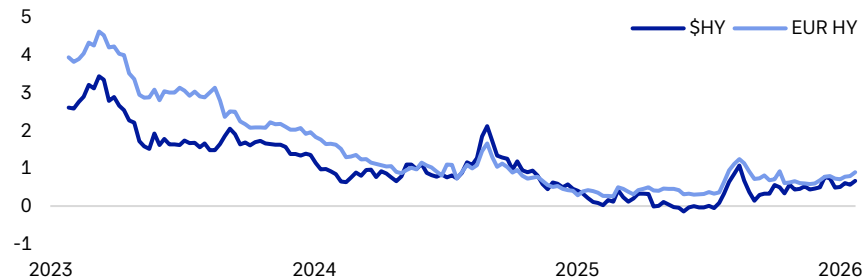
Rising refinancing costs may deter some debt issuance but overall credit conditions remain favourable



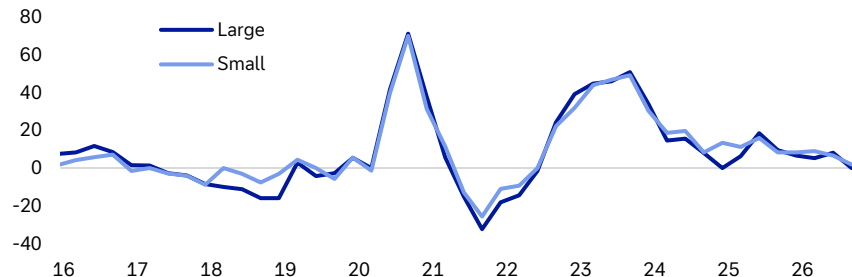
IG bonds - Refinancing proxy in %



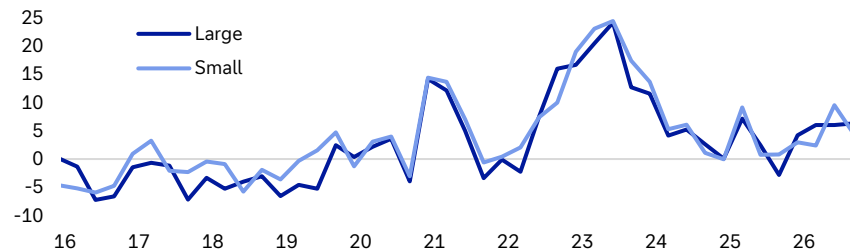
HY bonds - Refinancing proxy in %



Fed SLOOS: banks tightening standards for C&I loans to firms (%)

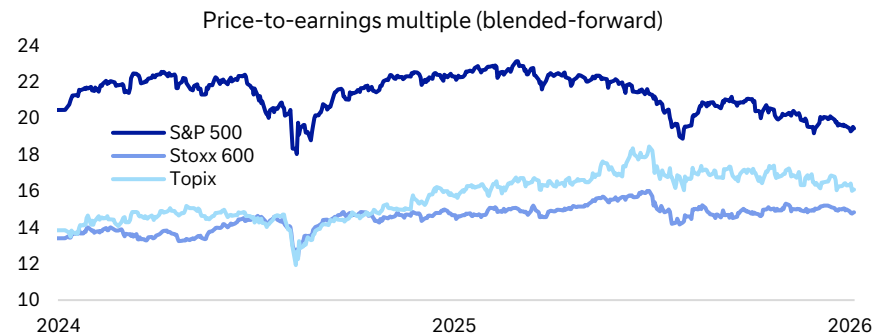
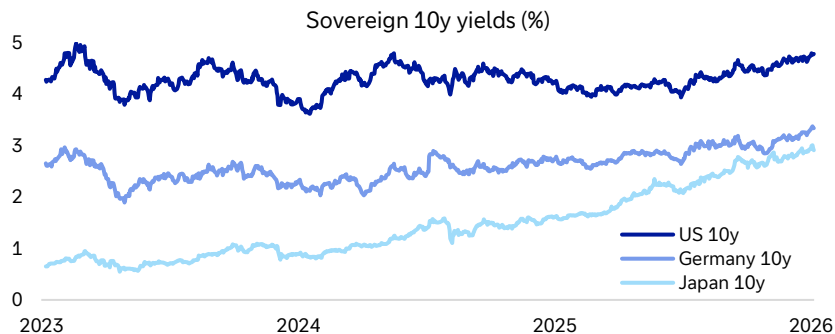
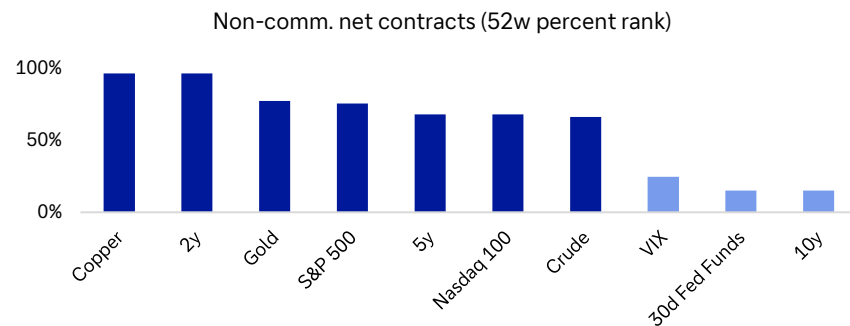
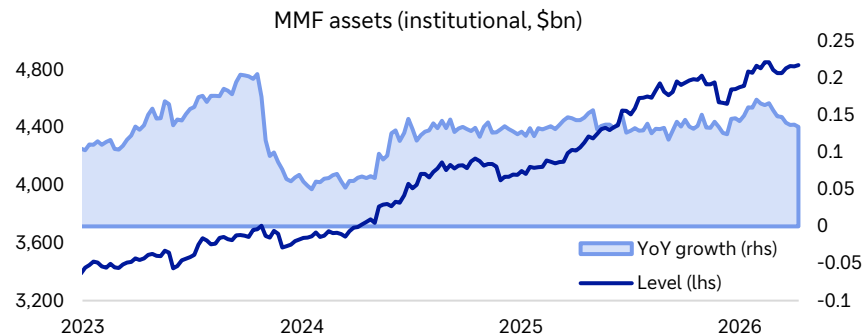


Euro Area bank lending survey: change in credit standards for business loans



Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

Despite rising yields, markets remain in a risk-on mood and there is plenty of cash

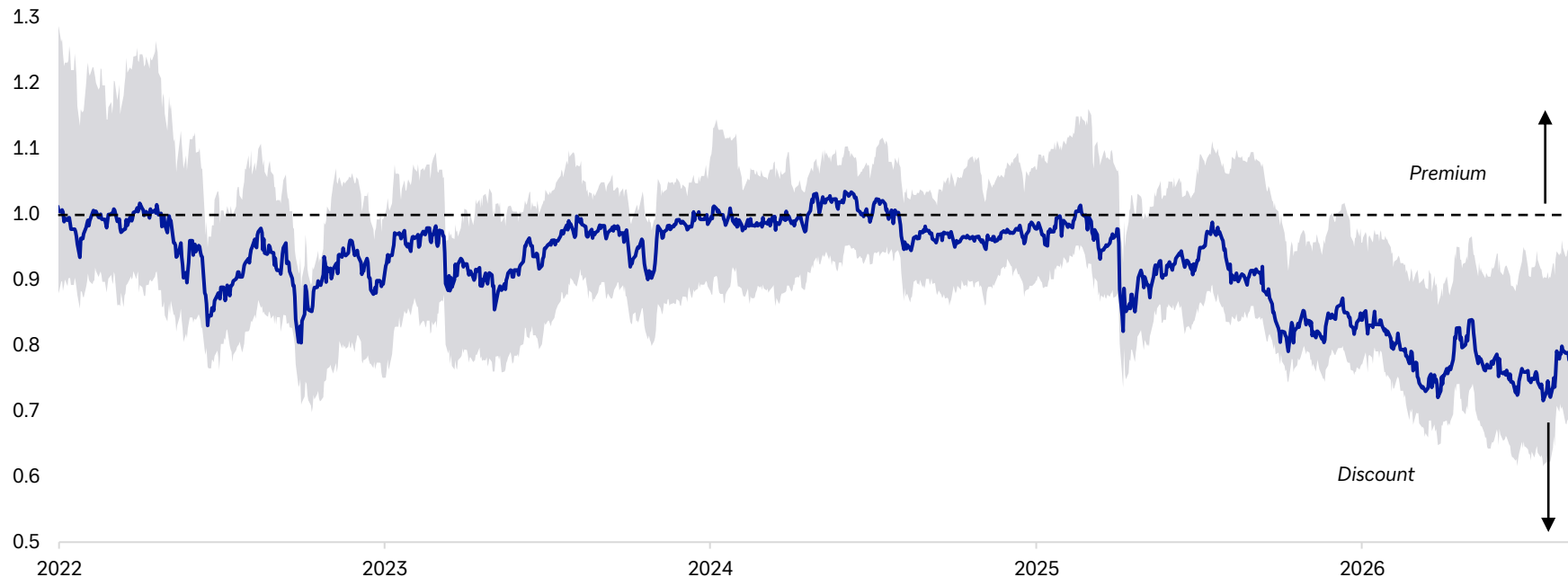


Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

The median BDCs discount to NAV is still wide and now stands at c 22%. Apart from software fears, the focus is on the trajectory of US monetary policy.

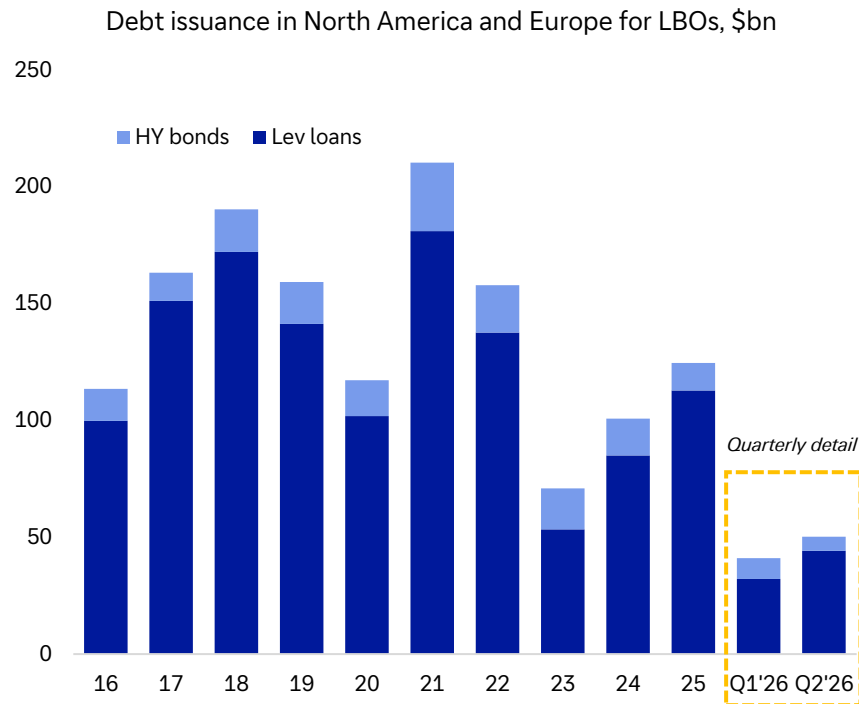


Median price-to-NAV ratio of funds in the S&P BDC index

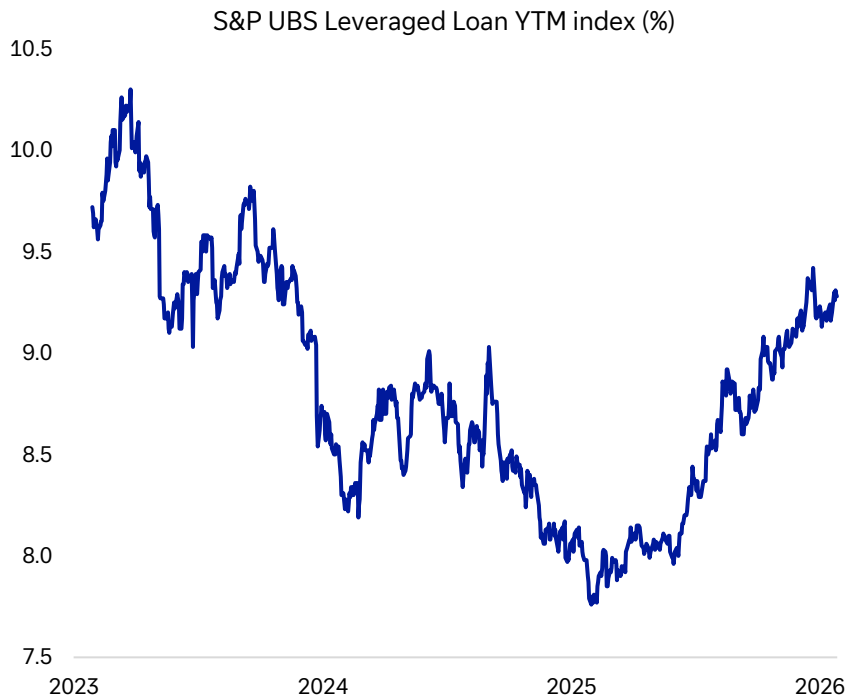


Source: Bloomberg Finance LP, Deutsche Bank.

Debt issuance for LBOs continued to grow in Q2. Rising sovereign rates may dissuade some borrowers but leveraged loan yields remain below recent highs and earnings have been strong.



Source: White & Case, Bloomberg Finance LP, Deutsche Bank.





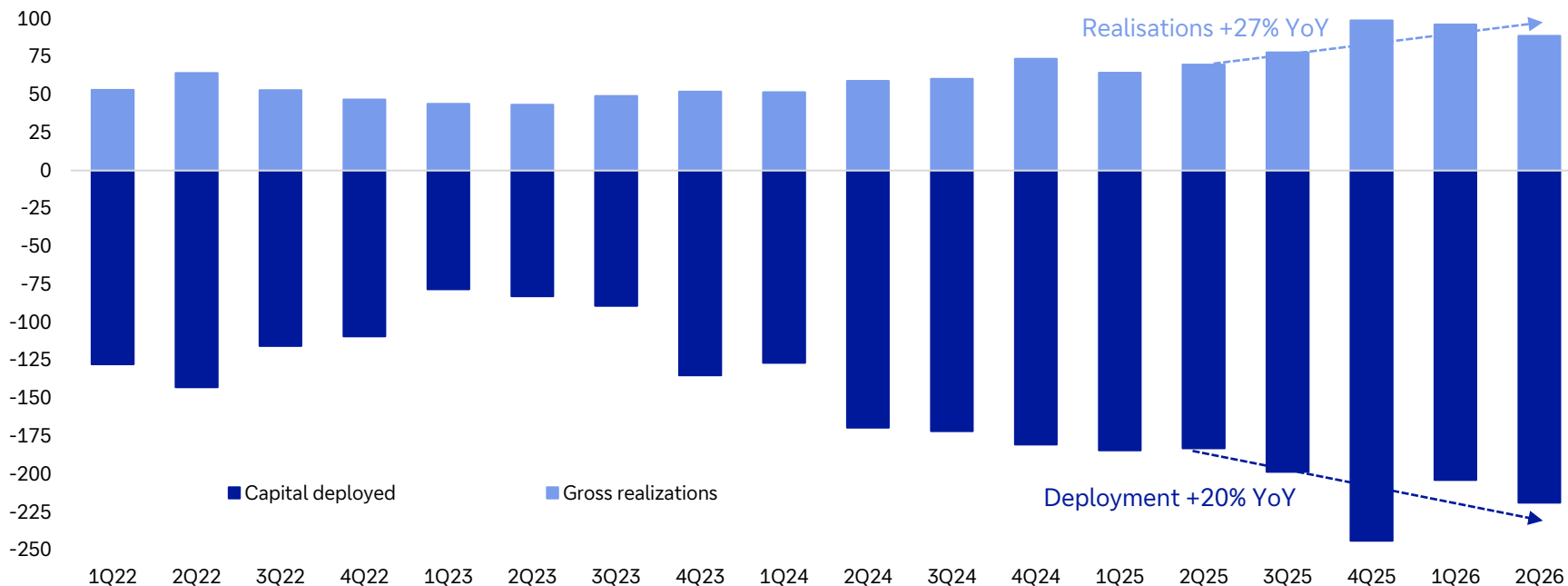
04. Fundraising environment

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Both deployment and realisations are up YoY. Realisations growth will be in focus given uncertainty voiced by managers.



Selected private managers, deployment v realisations (\$bn)

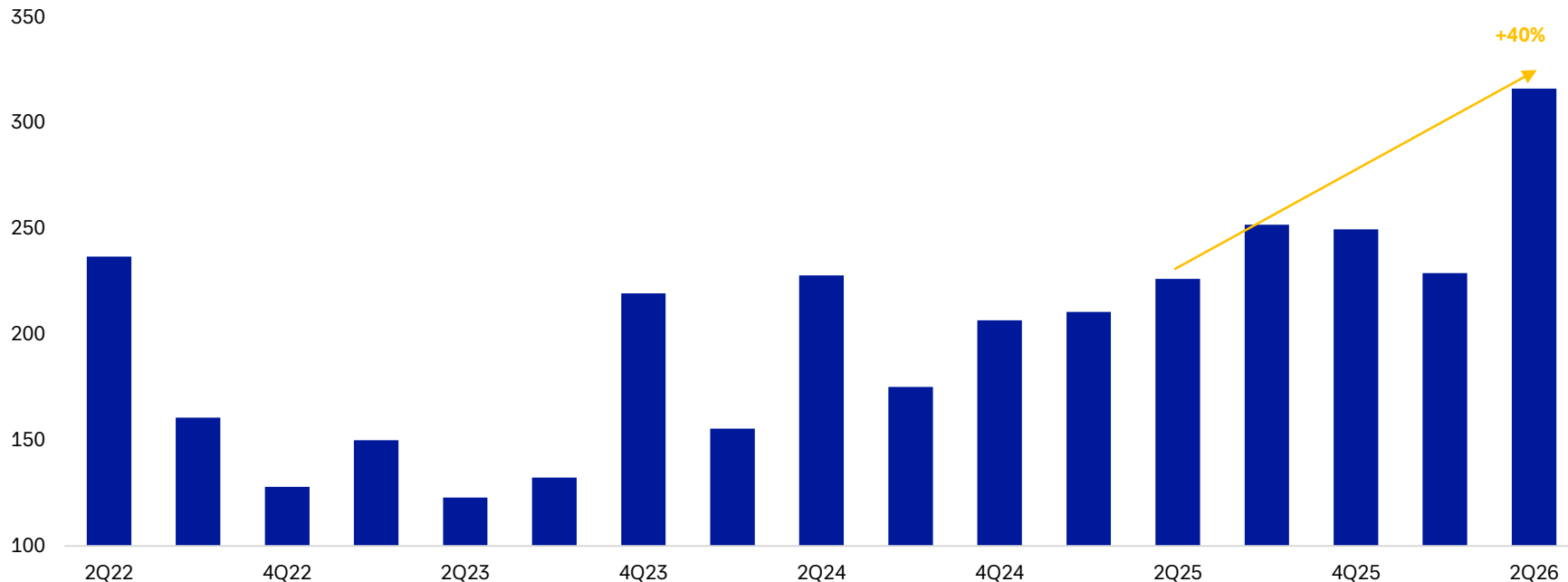


Source: Deutsche Bank company research – [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](#), Deutsche Bank. * Note: Deutsche Bank company research forecasts.

Aggregate fundraising growth has shot up (in part due to one-off factors) and managers are confident in continued strength.



Fundraising by selected large, listed managers (\$bn)

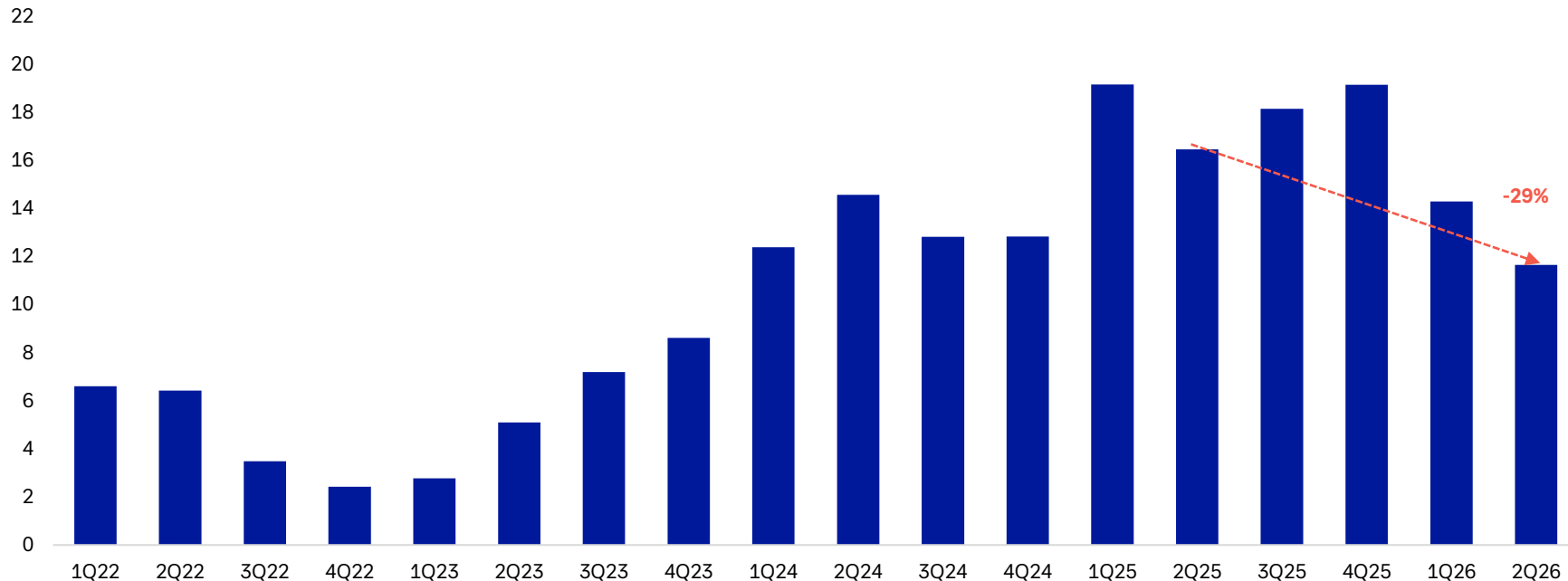


Source: Deutsche Bank company research – [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](#), Deutsche Bank.

Gross retail fundraising (not taking into account redemptions) continues to come down, now down almost a third YoY.



Retail fundraising by largest listed private capital managers *

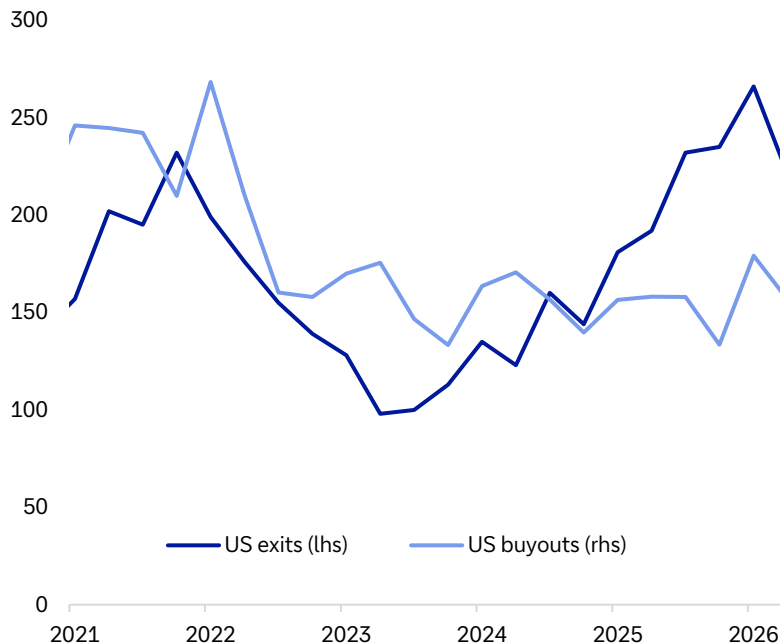


Source: Deutsche Bank company research – [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](#), Bloomberg Finance LP, Deutsche Bank. * Note: gross, only funds with available Q2 data.

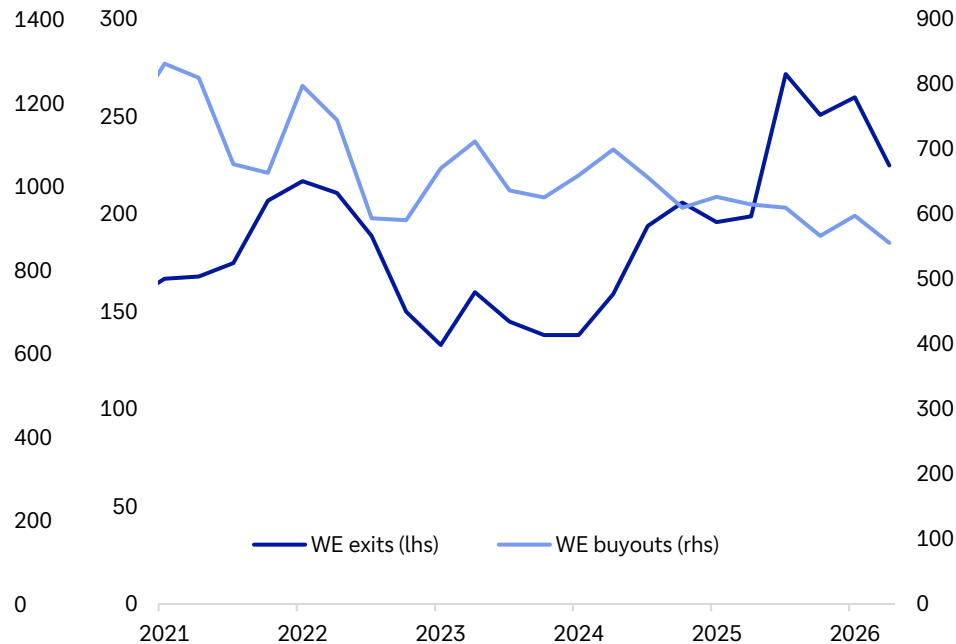
Exit activity remains strong despite some softening relative to recent highs



US PE exits have come down from recent highs



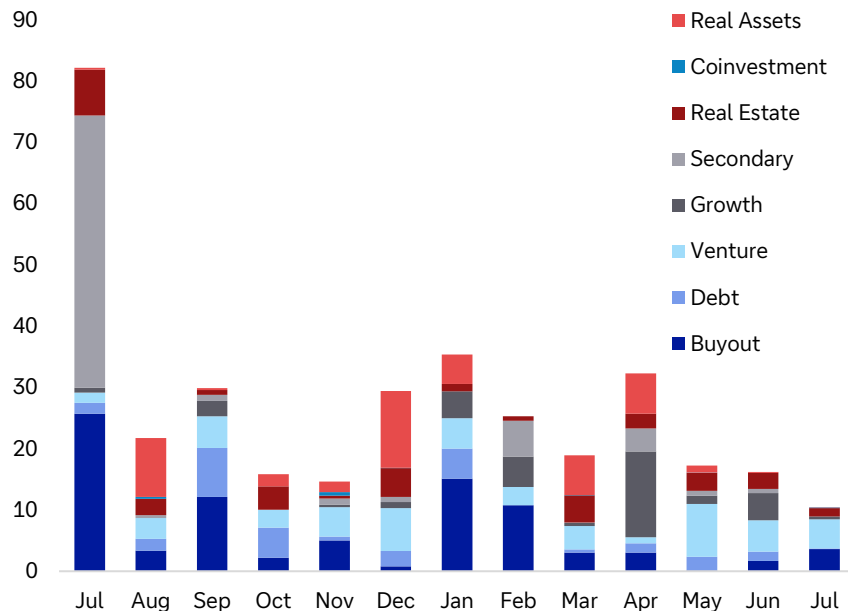
European exits have also slowed but remain high



Source: White & Case, Deutsche Bank.

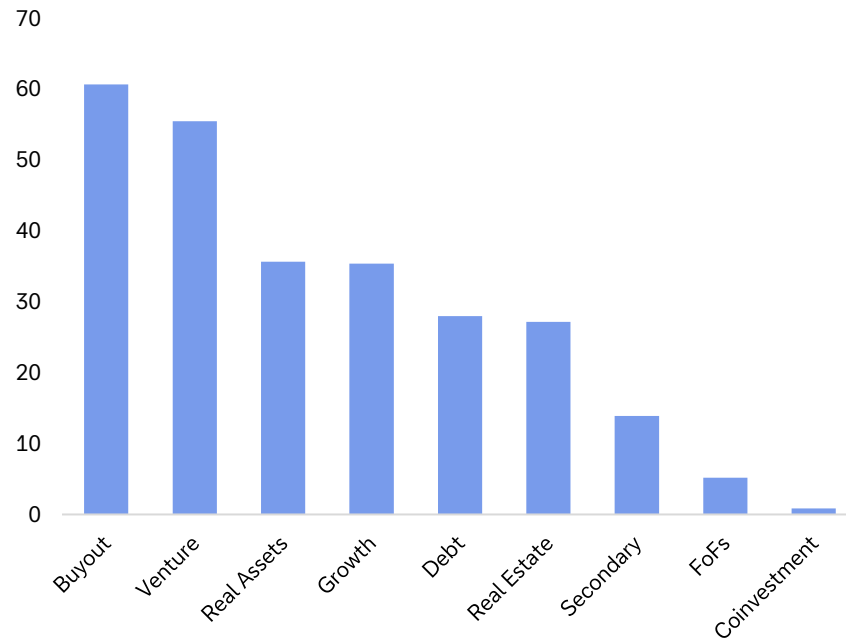


Fundraising funds - target in \$bn by strategy type and launch month, US and Europe



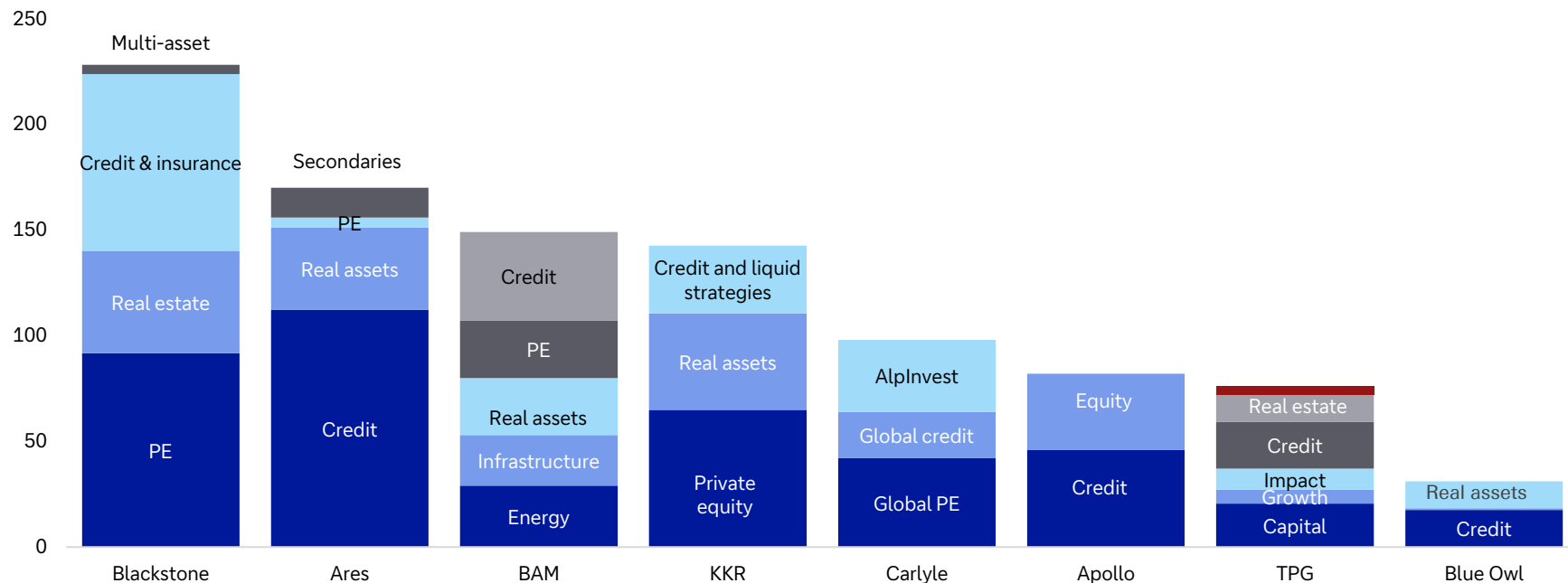
Source: Bloomberg Finance LP, Deutsche Bank.

Fundraising funds in US and Europe, last 12m in \$bn





Dry powder by manager and reported segment, Q2 2026 (\$bn)

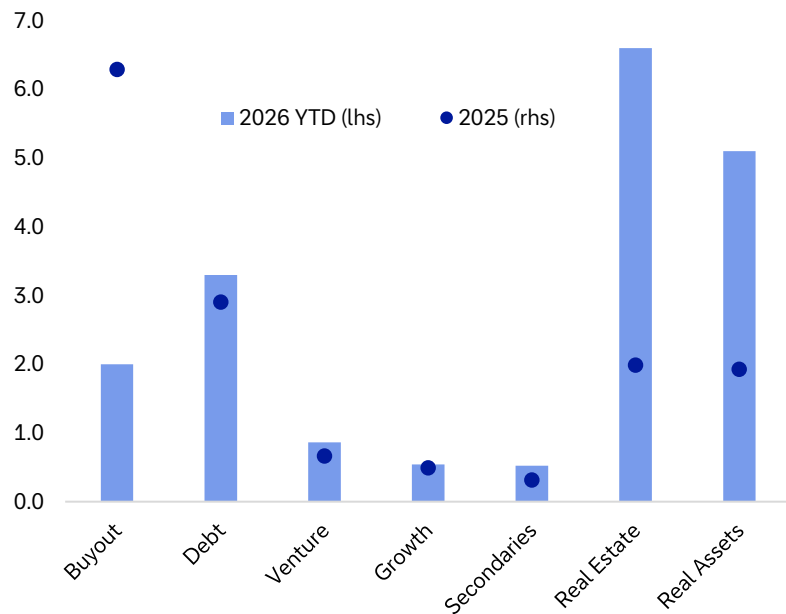


Source: Company reports, Deutsche Bank.

Recent disclosed LP commitments

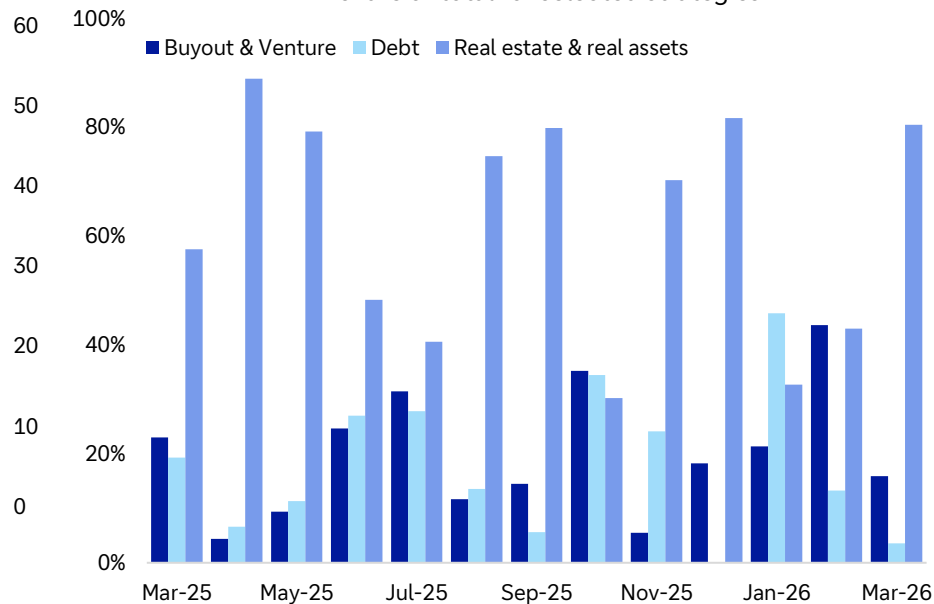


Disclosed LP commitments by strategy in \$bn



Source: Bloomberg Finance LP, Deutsche Bank.

Disclosed LP commitment targets by month and strategy, share of total for selected strategies

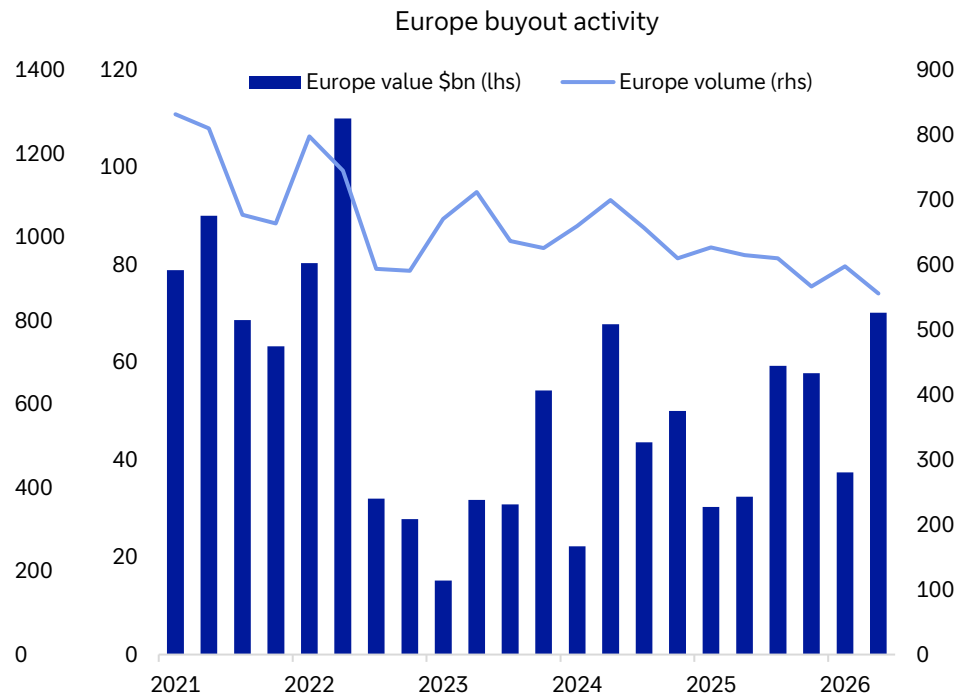
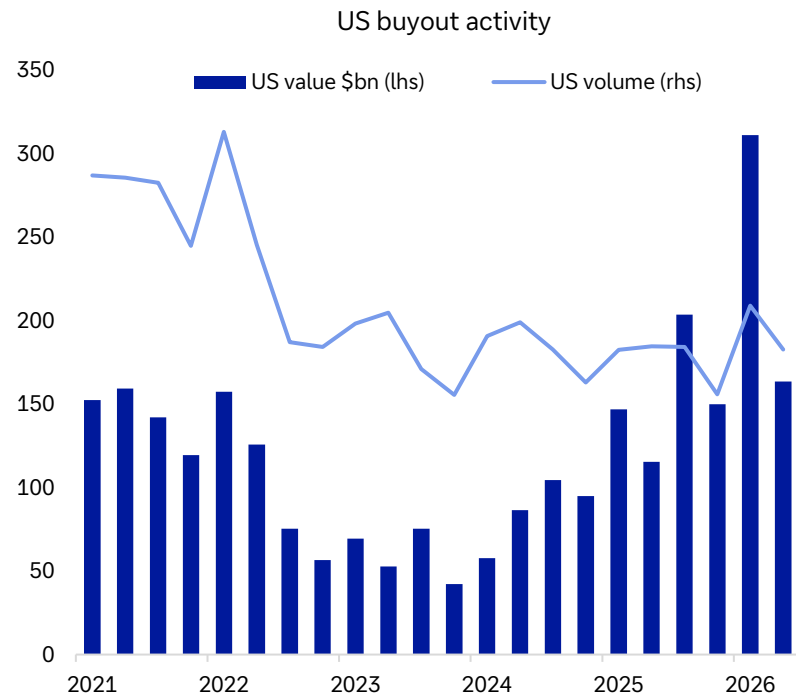




05. Dealmaking activity

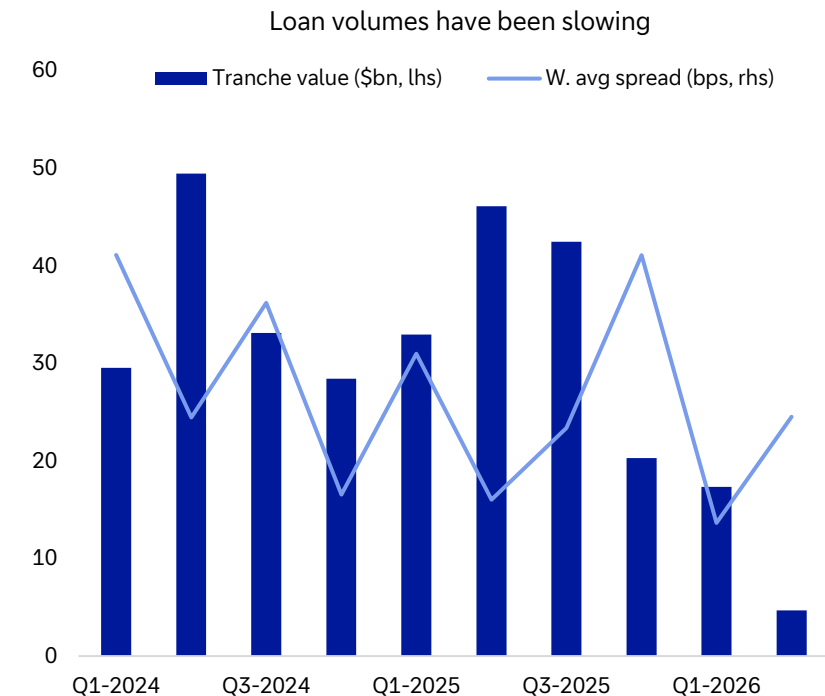
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Dealmaking activity in buyouts

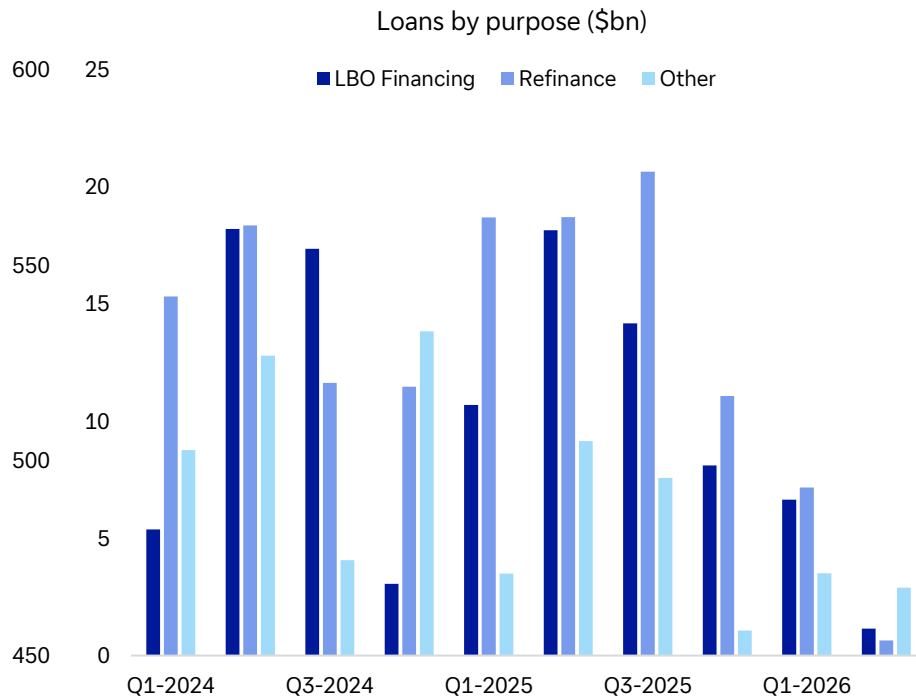


Source: White & Case, Deutsche Bank.

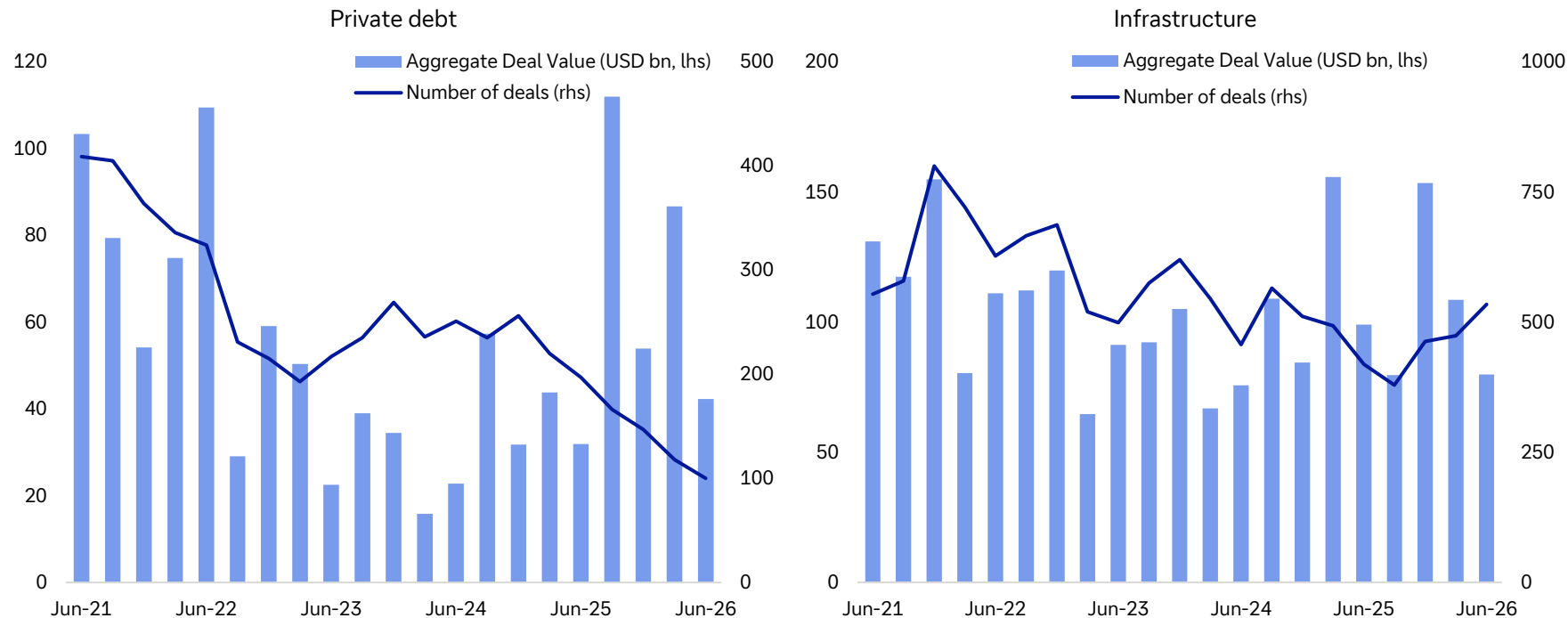
Origination in large private credit loans – loan volumes continued to slow amidst more caution around private credit spilling over from Q1. A recovery in sentiment will support some rebound in volumes.



Source: Bloomberg Finance LP, Deutsche Bank.



Global dealmaking activity in private debt and infrastructure



Source: Preqin, Deutsche Bank.

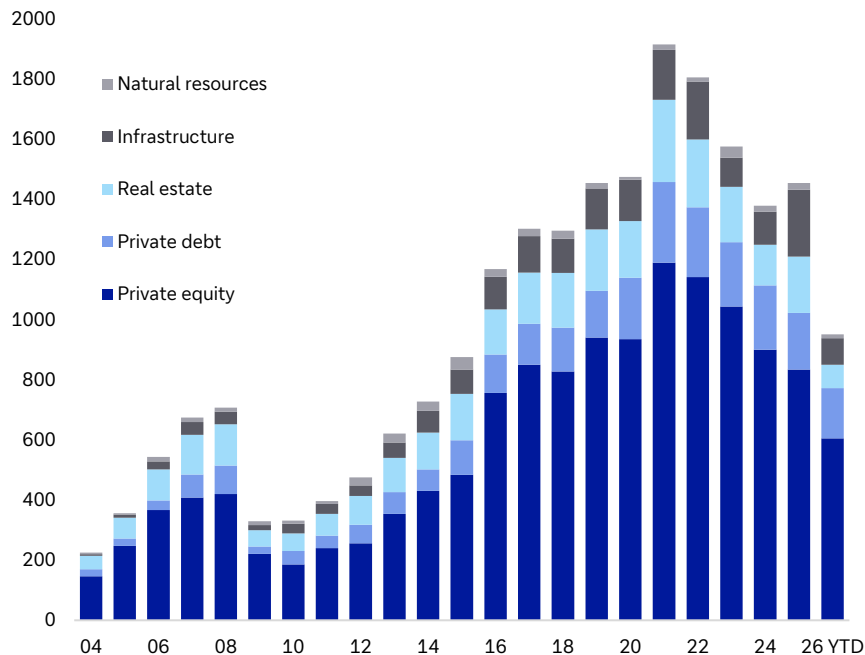


06. Investor allocations

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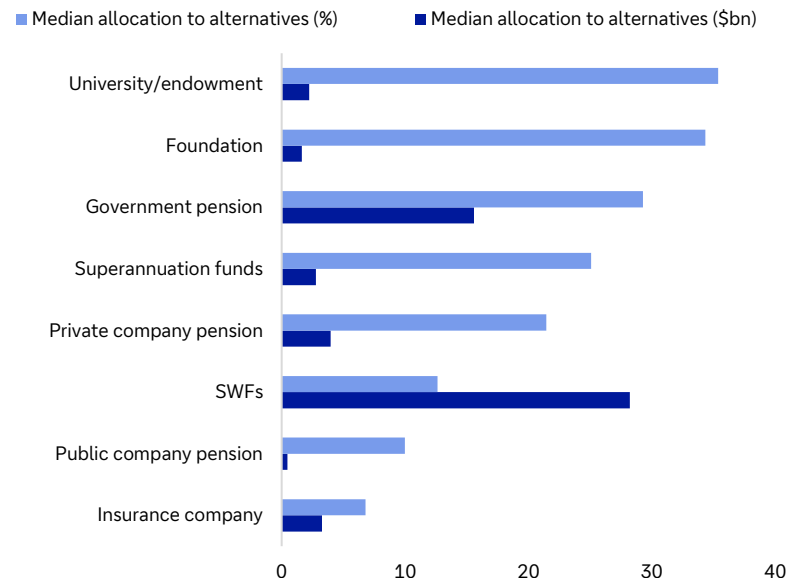


Private capital sum of funds raised (\$bn)



Source: Preqin, Bloomberg Finance LP, Deutsche Bank.

Top 100 LPs in each category, allocations to alternatives



Appendix 1



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